

The background of the page is a solid teal color. It features two vertical red bars: one on the left side and one on the right side. A white rectangular area is positioned in the upper right quadrant, containing the company name and financial statement title. The left edge of the page shows a series of red binding holes.

ORIENT FINANCE PLC
COLOMBO

FINANCIAL STATEMENTS FOR THE
YEAR ENDED 31ST MARCH, 2017



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INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ORIENT FINANCE PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Orient Finance PLC, which comprise the statement of financial position as at 31st March, 2017 and the income statement, statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information as set out on pages 06 to 55.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal control as the Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of Orient Finance PLC as at 31st March, 2017 and its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on Other Legal and Regulatory Requirements

As required by Section 163 (2) of the Companies Act No. 07 of 2007, we state the following:

- a) The basis of opinion and scope and limitations of the audit are as stated above.
- b) In our opinion:
 - We have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the company.
 - The financial statements of the company, comply with the requirements of Section 151 of the Companies Act No.07 of 2007.

CHARTERED ACCOUNTANTS

Colombo

27th June, 2017

VR/dm

For the year ended 31st March,

	Note	2017 Rs.	2016 Rs.
Income	4	3,309,736,196	2,363,151,672
Interest income	5	3,128,709,442	2,229,745,733
Interest expenses	6	(1,836,496,004)	(1,096,452,702)
Net interest income		1,292,213,438	1,133,293,031
Fee and commission income	7	129,889,739	84,986,691
Other operating income	8	51,137,015	48,419,248
Total operating income		1,473,240,192	1,266,698,970
Impairment charges/(reversal) for loans and receivables to customers	9	(321,776,210)	(328,996,613)
Net operating income		1,151,463,982	937,702,357
Operating expenses			
Personnel expenses	10	(323,775,954)	(257,838,040)
Depreciation and amortization		(30,940,656)	(41,927,462)
Other operating expenses	11	(418,517,028)	(340,434,035)
Operating profit before Value Added Tax and NBT		378,230,344	297,502,820
Value Added Tax and NBT on financial services		(76,750,858)	(1,642,102)
Profit before income tax		301,479,486	295,860,718
Income tax expense	12	(43,803,275)	311,011,817
Profit for the year		257,676,211	606,872,535
Basic earnings per share (Rs.)	13.1	1.74	7.00
Diluted earnings per share (Rs.)	13.2	1.74	7.00
Dividend per share (Rs.)	14	-	-

Figures in brackets indicate deductions.

The significant accounting policies and the notes from pages 06 to 55 form an integral part of these financial statements.

Colombo
27th June, 2017

For the year ended 31st March,

	Note	2017 Rs.	2016 Rs.
Profit for the year		257,676,211	606,872,535
Other comprehensive income/(expenses)			
Other comprehensive income/(expenses) to be reclassified to profit or loss in subsequent periods			
Available for sale financial assets - Net change in fair value		(1,168,048)	(377,544)
		<u>(1,168,048)</u>	<u>(377,544)</u>
Other comprehensive income/(expenses) not to be reclassified to profit or loss in subsequent periods			
Actuarial gain/(loss) on retirement benefit plan	31.1	330,448	(1,860,920)
Deferred tax effect on above		(92,525)	521,058
		<u>237,923</u>	<u>(1,339,862)</u>
Other comprehensive income/(expenses) for the year net of tax		<u>(930,125)</u>	<u>(1,717,406)</u>
Total comprehensive income for the year net of tax		<u><u>256,746,086</u></u>	<u><u>605,155,129</u></u>

Figures in brackets indicate deductions.

The significant accounting policies and the notes from pages 06 to 55 form an integral part of these financial statements.

Colombo
27th June, 2017

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

Page 3

As At 31st March

	Note	2017 Rs.	2016 Rs.
ASSETS			
Cash and cash equivalents	15	107,894,350	231,677,698
Available for sale financial assets	16	839,887,069	756,124,104
Loans and receivables to customers	17	16,416,103,144	13,839,304,166
Investments with banks and other financial institutions	18	369,160,064	432,329,213
Other assets	19	197,047,025	247,641,495
Real estate stock	20	22,469,524	46,407,850
Deferred tax asset	21	275,622,280	319,518,080
Goodwill	22	564,545,746	564,545,746
Brand value	22.1	235,880,000	235,880,000
Intangible assets	23	105,510	517,658
Property, plant and equipment	24	421,315,170	438,736,121
Total assets		19,450,029,882	17,112,682,131
LIABILITIES			
Bank overdrafts	15	598,251,884	433,373,124
Deposits from customers	25	9,565,559,962	9,249,312,393
Interest bearing borrowings	26	4,815,150,455	3,262,737,550
Term debts	27	985,716,469	1,176,912,865
Redeemable preference shares	28	406,954,566	-
Current tax payable	29	2,136,340	2,136,340
Other liabilities	30	530,785,736	704,484,745
Non-interest bearing security deposits		848,126	1,891,105
Retirement benefit obligations	31	44,899,285	38,853,036
Total liabilities		16,950,302,823	14,869,701,158
EQUITY			
Stated capital	32	1,378,689,779	1,378,689,779
Statutory reserve fund	33	305,274,930	292,391,119
Available for sale reserve	34	(1,545,592)	(377,544)
Revaluation reserve		116,471,908	116,471,908
Retained earnings		700,836,034	455,805,711
Total equity		2,499,727,059	2,242,980,973
Total equity and liabilities		19,450,029,882	17,112,682,131
Net assets per share		16.89	15.15

Figures in brackets indicate deductions.

The significant accounting policies and the notes from pages 06 to 55 form an integral part of these financial statements.

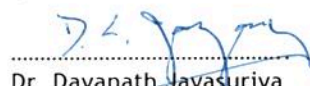
The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

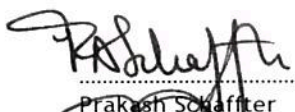

Asefa Wijayabandara
Asst. General Manager - Finance


Mayura Fernando
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board;


Dr. Dayanath Jayasuriya
Chairman


Prakash Schaffter
Director

Colombo



ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

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For the year ended 31st March 2017,

	Stated Capital	Statutory reserve fund	Revaluation reserve	Available for sale value reserve	Retained earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01st April 2015	306,024,990	171,016,612	116,471,908	(3,374,004)	(20,140,382)	569,999,124
Issue of ordinary shares	1,072,664,789				-	1,072,664,789
Equity transaction cost relating to IPO					(4,838,069)	(4,838,069)
Profit for the year	-	-	-	-	606,872,535	606,872,535
Written off of available for sale financial assets				3,374,004	(3,374,004)	-
Other comprehensive income net of taxes	-	-	-	(377,544)	(1,339,862)	(1,717,406)
Transfer to statutory reserve	-	121,374,507	-	-	(121,374,507)	-
Balance as at 31st March, 2016	<u>1,378,689,779</u>	<u>292,391,119</u>	<u>116,471,908</u>	<u>(377,544)</u>	<u>455,805,711</u>	<u>2,242,980,973</u>
Profit for the year	-	-	-	-	257,676,211	257,676,211
Other comprehensive income net of taxes	-	-	-	(1,168,048)	237,923	(930,125)
Transfer to statutory reserve	-	12,883,811	-	-	(12,883,811)	-
Balance as at 31st March, 2017	<u>1,378,689,779</u>	<u>305,274,930</u>	<u>116,471,908</u>	<u>(1,545,592)</u>	<u>700,836,034</u>	<u>2,499,727,059</u>

Figures in brackets indicate deductions.

The significant accounting policies and the notes from pages 06 to 55 form an integral part of these financial statements.

Colombo
27th June, 2017

For the year ended 31st March

	2017 Rs.	2016 Rs.
Cash flows from operating activities		
Profit before income tax expense	301,479,486	295,860,718
Adjustment for;		
Depreciation/Amortization	30,940,656	41,927,462
Profit on disposal of property, plant and equipment	(15,283,673)	(36,700,876)
Impairment charge/(reversal)	321,776,210	328,996,613
Finance expenses	1,836,496,004	1,096,452,702
Profit on sale of real estate	(6,105,716)	(595,136)
Investment income	(113,697,831)	(82,814,997)
Provision for gratuity	9,683,361	2,552,085
Operating profit before working capital changes	2,365,288,497	1,645,678,571
Change in loans and receivables to customers	(2,898,575,188)	(1,719,073,346)
Change in other assets	50,594,470	(57,394,929)
Change in deposits from customers	357,310,126	61,939,527
Change in other liabilities	(173,699,009)	(334,034,620)
Change in non interest bearing security margins	(1,042,979)	(695,045)
	(300,124,083)	(403,579,842)
Interest paid	(1,733,759,187)	(816,799,568)
Income tax paid	-	(2,498,544)
Gratuity paid	(3,306,664)	(23,393,426)
Net cash used in operating activities	(2,037,189,934)	(1,246,271,380)
Cash flows from investing activities		
Acquisition of property, plant and equipment	(17,962,347)	(16,248,351)
Proceeds from sale of property, plant and equipment	20,138,462	54,951,092
Proceeds from sale of real estate	30,044,042	1,414,722
Net change in available for sale financial assets	(84,931,013)	56,965,581
Net change in investments with bank and other financial institutions	63,169,149	(298,234,218)
Investment income received	113,697,831	82,814,997
Payments made to former Orient Finance PLC shareholders	-	(1,730,906,250)
Net cash generated from / (used in) investing activities	124,156,124	(1,849,242,427)
Cash flows from financing activities		
Interest bearing borrowings obtained	10,143,888,000	5,839,980,152
Repayment of interest bearing borrowings	(8,619,381,487)	(4,440,414,808)
Interest paid on debentures	(96,184,411)	(71,258,080)
Repayment of Debentures	(204,000,000)	-
Proceeds from share issue	-	1,072,664,789
Proceeds from Preference shares issue	400,049,600	-
Expenses incurred for IPO	-	(4,838,069)
Proceeds received from related party	-	265,825,725
Net cash generated from financing activities	1,624,371,702	2,661,959,709
Net change in cash and cash equivalents	(288,662,108)	(433,554,098)
Cash and cash equivalents at the beginning of the year	(201,695,426)	107,415,559
Net Cash transferred from former Orient Finance PLC at the time of amalgamation	-	124,443,113
Cash and cash equivalents at the end of the year (Note A)	(490,357,534)	(201,695,426)

Note A

Analysis of cash and cash equivalents at the end of the year

Cash in hand	85,700,169	25,988,300
Cash at bank	22,194,181	205,689,398
Bank overdrafts - secured	(598,251,884)	(433,373,124)
	(490,357,534)	(201,695,426)

Figures in brackets indicate deductions.

The significant accounting policies and the notes from pages 06 to 55 form an integral part of these financial statements.

1. REPORTING ENTITY

1.1 Corporate information

Orient Finance PLC (the “company”) is a company incorporated and domiciled in Sri Lanka under the Companies Act No. 07 of 2007 and approved under the Finance Lease Act, No. 56 of 2000 and Finance Business Act No. 42 of 2011 and is listed in the Colombo Stock Exchange.

The registered office of the company is located at No. 02, Deal Place, Colombo-03 and the business is carried out at No.18, Sri Sangaraja Mawatha, Colombo 10.

1.2 Principal activities and nature of operations

The principal activities of the company are comprised of finance leasing, hire purchasing, debt factoring, mobilization of deposits and pawning advances.

1.3 Parent entity and ultimate parent entity

In the opinion of the directors, the company's parent undertaking is Janashakthi PLC.

1.4 Directors' responsibility statement

The board of directors takes the responsibility for the preparation and presentation of these financial statements as per the provisions of the Companies Act No.07 of 2007 and the Sri Lanka Accounting Standards comprising LKAS and SLFRS.

1.5 Date of authorization

The financial statements of the company for the year ended 31st March, 2017 were authorized to issue by the board of directors on 27th June, 2017.

2. BASIS OF PREPARATION

2.1 Statement of compliance

The statement of financial position as at 31st March, 2017 income statement, statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows, together with the notes to the financial statements (“financial statements”) of the company for the year then ended, comply with the Sri Lanka Accounting Standards (SLFRSs /LKASs) as laid down by the Institute of Chartered Accountants of Sri Lanka and the requirements of the Companies Act No. 07 of 2007 and the Finance Business Act No. 42 of 2011 and amendments thereto, and provide appropriate disclosures as required by the Listing Rules of the Colombo Stock Exchange.

2.2 Basis of measurement

The financial statements have been prepared on historical cost basis except for the following material items in the statement of financial position;

- Liability for defined benefit obligations is recognized as the present value of the defined benefit obligation.
- Available-for -sale financial assets are measured at fair value.

2.3 Functional and presentation currency

The financial statements are presented in Sri Lankan Rupees, which is the company's functional currency. All financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee unless stated otherwise.

2.4 Presentation of financial statements

The assets and liabilities of the company presented in its statement of financial position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the financial statements. Maturity analysis is presented in note 36 to the financial statements.

2.5 Materiality and aggregation

In compliance with LKAS 01 on "Presentation of Financial Statements", each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions are presented separately, unless they are immaterial.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the statement of comprehensive income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the notes to the financial statements.

2.6 Comparative information

The accounting policies have been consistently applied by the company with those of the previous financial year in accordance with LKAS 01 "*Presentation of Financial Statements*" except those resulted to change as the revision or application of new SLFRSs/LKASs. Further, comparative information is reclassified wherever necessary to comply with the current presentation.

2.7 Significant accounting judgements, estimates and assumptions

The preparation of financial statements in conformity with Sri Lanka Accounting Standards (LKAS and SLFRS) requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised and in any future periods affected.

The most significant areas of estimation, uncertainty and critical judgements in applying accounting policies that have most significant effect on the amounts recognized in the financial statements of the company are as follows:

2.7.1 Going concern

The company's management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

2.7.2 Fair value of financial instruments

Where the fair values of financial assets and financial liabilities recorded on the statement of financial position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The inputs to these models are derived from observable market data where possible, but if this is not available, judgement is required to establish fair values.

2.7.3 Impairment losses on loans and advances

The company reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided for in the income statement. In particular, management's judgement is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about number of factors and actual results may differ, resulting in future changes to the allowance made.

Loans and advances that have been assessed individually and found not to be impaired and all individually insignificant loans and advances are then assessed collectively, by categorising them into groups of assets with similar risk characteristics, to determine whether a provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes account of data from the loan portfolio (such as loan to collateral ratio, level of restructured performing loans, etc.), and judgement on the effect of concentrations of risks and economic data.

The impairment loss on loans and advances is discussed in detail under note 17 to the financial statements.

2.7.4 Impairment of available for sale investments

The company reviews its debt securities classified as available for sale investments at each reporting date to assess whether they are impaired. This requires similar judgement as applied to the individual assessment of loans and advances.

The company also records impairment charges on available for sale equity investments when there has been a significant or prolonged decline in the fair value below their cost. The determination of what is 'significant' or 'prolonged' requires judgement. In making this judgement, the company evaluates, among other factors, historical share price movements and duration and extent to which the fair value of an investment is less than its cost.

2.7.5 Deferred tax assets

Deferred tax assets are recognized in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgement is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

2.7.6 Impairment losses on other financial assets

The company assesses whether there are any indicators of impairment for an asset or a cash generating unit at each reporting date or more frequently, if events or changes in circumstances necessitate doing so. This requires the estimation of the 'value in use' of such individual assets or the cash generating units. Estimating value in use requires management to make an estimate of the expected future cash flows from the asset or the cash-generating unit and also to select a suitable discount rate in order to calculate the present value of the relevant cash flows. This valuation requires the company to make estimates about expected future cash flows and discount rates, and hence, they are subject to uncertainty.

2.7.7 Impairment of non-financial assets

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use. The fair value less costs to sell calculation is based on available data from binding sales transactions, conducted at arm observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the company is not yet committed to or significant future investments that will enhance the asset discount rate used for the discounted cash flow model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

2.7.8 Defined benefit obligation

The cost of the defined benefit pension plan is determined using an actuarial valuation. The actuarial valuation involves making various assumptions determining the discount rates, future salary increases, mortality rates etc. Due to the long term nature of these plans, such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation.

The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the company.

2.7.9 Useful economic lives of property, plant and equipment

Useful economic lives of property, plant and equipment are estimated as disclosed in the note 3.3.4 to the financial statements.

2.7.10 Useful economic lives of intangible assets

Useful economic lives of intangible assets are estimated as disclosed in the note 3.5.1.1 and 3.5.2.1 to the financial statements.

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these financial statements of the company unless otherwise indicated. .

3.1 Financial instruments - Initial recognition, classification and subsequent measurement

3.1.1 Date of recognition

The company initially recognizes lease and hire purchase receivables, loans and advances, deposits and debt securities issued on the date on which they are originated. All other financial instruments (including regular way purchases and sales of financial assets) are recognized on the trade date, which is the date on which the company becomes a party to the contractual provisions of the instrument.

3.1.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them.

All financial instruments are initially measured at their fair value plus transaction costs, except in the case of financial assets and liabilities as per the Sri Lanka Accounting Standard – LKAS 39 on “Financial Instruments : Recognition and Measurement” recorded at fair value through profit or loss.

Transaction cost in relation to financial assets and financial liabilities at fair value through profit or loss are dealt with through the income statement.

3.1.3 “Day 1” profit or loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the company recognizes the difference between the transaction price and fair value (a 'Day 1' profit or loss) in 'interest income and personnel expenses'. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognized in the profit or Loss when the inputs become observable, or when the instrument is derecognized. The 'Day 1 loss' arising in the case of loans granted to employees at concessionary rates under uniformly applicable schemes is deferred and amortised using Effective Interest Rates (EIR) over the remaining service period of the employees or tenure of the loan whichever is shorter.

3.1.4 Classification and subsequent measurement of financial assets

At inception financial assets are classified into one of the following categories:

- At fair value through profit or loss, and within this category as :
 - Held for trading; or
 - Designated at fair value through profit or loss
- Held-to-maturity
- Available for Sale
- Loans and receivables

The subsequent measurement of the financial assets depends on their classification.

3.1.4.1 Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss includes financial assets held for trading and financial assets designated upon initial recognition at fair value through profit or loss which are discussed below.

The company has not designated any financial assets upon initial recognition at fair value through profit or loss.

3.1.4.1.1 Financial Assets Held for Trading

Financial assets are classified as held for trading if they are acquired principally for the purpose of selling or repurchasing in the near term or holds as a part of a portfolio that is managed together for short-term profit or position taking.

Financial assets held for trading are recorded in the statement of financial position at fair value. Changes in fair value are recognized in profit or loss.

The company evaluates its financial assets held for trading to determine whether the intention to sell them in the near term is still appropriate. When the company is unable to trade these financial assets due to inactive markets and management's intention to sell them in the foreseeable future significantly changes, the company may elect to reclassify these financial assets in rare circumstances.

3.1.4.1.2 Financial assets designated at fair value through profit or loss

The company designates financial assets at fair value through profit or loss in the following circumstances:

- The assets are managed, evaluated and reported internally at fair value;
- The designation eliminates or significantly reduces an accounting mismatch, which would otherwise have arisen; or

Financial assets designated at fair value through profit or loss are recorded in the statement of financial position at fair value. Changes in fair value are recorded in 'net gain or loss on financial assets and liabilities designated at fair value through profit or loss'. Interest earned is accrued in 'interest income', using the EIR, while dividend income is recorded in 'other operating income' when the right to receive the payment has been established.

The company has not designated any financial assets upon initial recognition as at fair value through profit or loss.

3.1.4.2 Held to maturity financial investments

Held to maturity financial investments are non-derivative financial assets with fixed or determinable payments and fixed maturities, which the company has the intention and ability to hold to maturity. After initial measurement, held to maturity financial investments are subsequently measured at amortised cost using the effective interest rate (EIR), less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the EIR. The amortisation is included in 'Interest and similar income' in the income statement. The losses arising from impairment of such investments are recognized in the income statement in 'Impairment changes for loans and other losses'.

If the company were to sell or reclassify more than an insignificant amount of held to maturity investments before maturity (other than in certain specific circumstances), the entire category would be tainted and would have to be reclassified as available for sale. Furthermore, the company would be prohibited from classifying any financial asset as held to maturity during the following two years.

The company has not designated any financial assets as held to maturity during the financial year.

3.1.4.3 Available for sale financial assets

Available-for-sale investments include equity securities and debt securities. Equity investments classified as available-for-sale are those which are neither classified as held for trading nor designated at fair value through profit or loss. Debt securities in this category are intended to be held for an indefinite period of time and may be sold in response to needs for liquidity or in response to changes in the market conditions.

After initial measurement, available for sale financial investments are subsequently measured at fair value. Unrealised gains and losses are recognized directly in equity through other comprehensive income in the 'available-for-sale reserve'. When the investment is disposed of, the cumulative gain or loss previously recognized in equity is recycled to the income statement in 'other operating income'. Where the company holds more than one investment in the same security, they are deemed to be disposed of on a first-in first-out basis. Interest earned whilst holding available-for-sale financial investments is reported as 'interest income' using the EIR.

Dividends earned whilst holding available-for-sale financial investments are recognized in the income statement as 'other operating income' when the right to receive the payment has been established. The losses arising from impairment of such investments are recognized in the income statement in 'impairment losses on financial investments' and removed from the 'available for sale reserve'.

3.1.4.4 Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate method (EIR), less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in the income statement. The losses arising from impairment are recognized in the income statement in 'Impairment changes for loans and other losses'.

Loans and receivables include loans and advances to customers and other loans and advances.

3.1.4.5 Loans and advances to customers

Loans and advances to customers include non-derivative financial assets with fixed or determinable payments that are not quoted in an active market.

Loans and advances to customers include hire purchase, lease receivable, factoring and pawning advances.

When the company is the lessor in a lease agreement that transfers substantially all the risks and rewards incidental to ownership of the asset to the lessee, the arrangement is classified as a finance lease. Assets hired to customers under hire purchase agreements which transfer all the risks and rewards incidentals to ownership as well as the legal title at the end of such contractual period are classified as hire purchase (HP) arrangements.

Amount receivable under finance leases and hire purchases net of initial rentals received, unearned lease income and provision for impairment are classified as hire purchases and Lease receivable and are presented within Loans and Advances to customers.

After initial measurement, amounts 'loans and advances to customers' are subsequently measured at amortised cost using the EIR, less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'interest and similar income' in the income statement. The losses arising from impairment are recognized in the income statement in 'impairment of changes for loans and other losses'.

3.1.5 Cash and cash equivalents

Cash and cash equivalents are defined as cash in hand, short-term highly liquid investments readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

They are brought to financial statements at their face values or the gross values, where appropriate. Cash and cash equivalents are carried at amortised cost in the statement of financial position.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and deposits in banks and net of outstanding bank overdrafts.

3.1.6 Financial liabilities

3.1.6.1 Classification and subsequent measurement of financial liabilities

At inception a financial liability is classified into one of the following categories:

- At fair value through profit or loss, and within this category as :
 - Held for trading; or
 - Designated at fair value through profit or loss.
- At amortised cost

The subsequent measurement of financial liabilities depends on their classification.

3.1.6.2 Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are acquired principally for the purpose of selling or repurchasing in the near term or holds as a part of a portfolio that is managed together for short-term profit or position taking. Gains or losses on liabilities held for trading are recognized in the income statement.

Financial liabilities designated at fair value through profit or loss are recorded in the statement of financial position at fair value. Changes in fair value are recorded in "net gain or loss on financial assets and liabilities designated at fair value through profit or loss". The company has not designated any financial liabilities upon initial recognition as at fair value through profit or loss.

3.1.6.3 Financial liabilities at amortised cost

Financial instruments issued by the company that are not designated at fair value through profit or loss, are classified as liabilities under 'deposits due to customers ', 'subordinated term debts' or 'interest bearing borrowings' as appropriate, where the substance of the contractual arrangement results in the company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares.

After initial recognition, such financial liabilities are subsequently measured at amortised cost using the EIR method. amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the income statement. Gains and losses are recognized in the income statement when the liabilities are derecognized as well as through the EIR amortisation process.

3.1.7 Reclassification of financial instruments

The company reclassifies non-derivative financial assets out of the 'held for trading' category and into the 'available-for-sale', 'loans and receivables', or 'held to maturity' categories as permitted by the Sri Lanka Accounting Standards - LKAS 39 on 'Financial Instruments: Recognition and Measurement'. Further, in certain circumstances, the company is permitted to reclassify financial instruments out of the 'available-for-sale' category and into the 'loans and receivables' category. Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost.

For a financial asset with a fixed maturity reclassified out of the 'available-for-sale' category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the asset using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. In case a financial asset does not have a fixed maturity, the gain or loss is recognised in the profit or loss when such financial asset is sold or disposed of. If the financial asset is subsequently determined to be impaired, then the amount recorded in equity is recycled to the income statement.

The company may reclassify a non-derivative trading asset out of the 'held for trading' category and into the 'loans and receivables' category if it meets the definition of loans and receivables and the company has the intention and ability to hold the financial asset for the foreseeable future or until maturity.

If a financial asset is reclassified, and if the company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the EIR from the date of the change in estimate.

Reclassification is at the election of management, and is determined on an instrument-by-instrument basis.

The company does not reclassify any financial instrument into the fair value through profit or loss category after initial recognition. Further, the company does not reclassify any financial instrument out of the fair value through profit or loss category if upon initial recognition it was designated as at fair value through profit or loss.

3.1.8 De recognition of financial assets and financial liabilities

3.1.8.1 Financial assets

Financial assets (or, where applicable or a part of a financial asset or part of a group of similar financial assets) is derecognised when;

- The rights to receive cash flows from the asset have expired; or
- The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
 - the company has transferred substantially all the risks and rewards of the assets, or
 - the company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the company has transferred its rights to receive cash flows from an asset or has entered into a pass through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the assets nor transferred control of it, the asset is recognized to the extent of the company's continuing involvement in it. In that case, the company also recognizes an associated liability. The transferred assets and the associated liabilities are measured on a basis that reflects the right and obligation that the company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the company could be required to repay.

3.1.8.2 Financial liabilities

A financial liability is derecognized when the obligation under liability is discharged, cancelled or expired.

3.1.8.3 Repurchase and reverse repurchase agreements

Securities sold under agreements to repurchase at a specified future date are not derecognised from the statement of financial position as the company retains substantially all of the risks and rewards of ownership. The corresponding cash received is recognized in the statement of financial position as an asset with a corresponding obligation to return it, including accrued interest as a liability within 'repurchase agreements', reflecting the transaction's economic substance as a loan to the company. The difference between the sale and repurchase prices is treated as interest expense and is accrued over the life of agreement using the EIR.

Conversely, securities purchased under agreements to resell at a specified future date are not recognised in the statement of financial position. The consideration paid, including accrued interest, is recorded in the statement of financial position, within 'reverse repurchase agreements', reflecting the transaction's economic substance as a loan by the company. The difference between the purchase and resale prices is recorded in 'net interest income' and is accrued over the life of the agreement using the EIR.

3.1.9 Impairment of financial assets

The company assesses at each reporting date, whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial recognition of the asset (an 'incurred loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

3.1.9.1 Impairment of financial assets carried at amortised cost

For financial assets carried at amortised cost (such as loans and advances to customers as well as held to maturity investments), the company first assesses individually whether objective evidence of impairment exists for financial assets that are individually significant, If the company determines that no objective evidence of impairment exists for an individually assessed financial asset, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss continues to be recognized are not included in the collective assessment of impairment.

If there is an objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The carrying amount of the asset is reduced through the use of an impairment account and the amount of impairment loss is recognized in the income statement.

Interest income continues to be accrued on the reduced carrying amount/impaired balance and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'interest income'.

Loans together with the associated allowances are written-off when there is no realistic prospect of future recovery and all collateral has been realised or has been transferred to the company. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced by adjusting the impairment account. If a write-off is later recovered, the recovery is credited to the "other income".

The present value of the estimated future cash flows is discounted at the financial asset's original EIR. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current EIR. If the company has reclassified trading assets to loans and advances, the discount rate for measuring any impairment loss is the new EIR determined at the reclassification date. The calculation of the present value of the estimated future cash flows of a collateralised financial asset reflects the cash flows that may result from foreclosure less costs for obtaining and selling the collateral.

For the purpose of collective evaluation of impairment, financial assets are grouped on the basis of the company's internal credit grading system that considers credit risk characteristics such as asset type, collateral type, past-due status and other relevant factors.

Future cash flows on a group of financial assets that are collectively evaluated for impairment are estimated on the basis of historical loss experience for assets with similar credit risk characteristics. Historical loss experience is adjusted on the basis of current observable data to reflect the effects of current conditions on which the historical loss experience is based and to remove the effects of conditions in the historical period that do not exist currently.

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognized, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognized in the income statement.

3.1.9.2 Impairment of available for sale financial investments

For available for sale financial investments, the company assesses at each reporting date whether there is objective evidence that an investment is impaired.

In the case of debt instruments classified as available-for-sale, the company assesses individually whether there is objective evidence of impairment based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognized in the income statement. Future interest income is based on the reduced carrying amount/impaired balance and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

The interest income on such assets too is recorded within 'interest income'. If, in a subsequent period, the fair value of a debt instrument increases and the increase can be objectively related to a credit event occurring after the impairment loss was recognized in the income statement, the impairment loss is reversed, with the amount of the reversal recognized in the income statement.

In the case of equity investments classified as available for sale, objective evidence would also include a 'significant' or 'prolonged' decline in the fair value of the investment below its cost. Where there is evidence of impairment, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognised in the equity through other comprehensive income is removed from equity and recognised in the income statement. However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognized in other comprehensive income.

The company writes-off certain financial investment available-for-sale when they are determined to be uncollectible.

3.1.9.3 Renegotiated loans

Where possible, the company seeks to restructure loans rather than to take possession of collateral. This may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original effective interest rate (EIR) as calculated before the modification of terms and the loan is no longer considered past due. Management continually reviews renegotiated loans to ensure that all criteria are met and that future payments are likely to occur. The loans continue to be subject to an individual or collective impairment assessment, calculated using the loan's original EIR.

3.1.9.4 Collateral repossessed or where properties have devolved to the company

The company's policy is to determine whether a repossessed or devolved asset is best used for its internal operations or should be sold. Assets determined to be useful for internal operations are transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset. Assets that are determined better to be sold are immediately transferred to assets held for sale at their fair value at the repossession date in line with the company's policy. The assets held by company for temporary periods pending unexecuted auctions or any suitable recovery methods are not shown as investment properties.

3.1.10 Offsetting financial assets and liabilities

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

3.1.11 Determination of fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- in the principal market for the asset or liability or
- in the absence of a principal market, in the most advantageous market for the asset or liability.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

Level 1

When available, the company measures the fair value of an instrument using active quoted prices or dealer price quotations (assets and long positions are measured at a bid price; liabilities and short positions are measured at an asking price), without any deduction for transaction costs. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

Level 2

If a market for a financial instrument is not active, then the company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses, credit models, option pricing models and other relevant valuation models.

The chosen valuation technique makes maximum use of market inputs, relies as little as possible on estimates specific to the company, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments. Inputs to valuation techniques reasonably represent market expectations and measures of the risk-return factors inherent in the financial instrument. The company calibrates valuation techniques and tests them for validity using prices from observable current market transactions in the same instrument or based on other available observable market data.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. without modification or repackaging, or based on a valuation technique whose variables include only data from observable markets.

When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognized in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

Level 3

Certain financial instruments are recorded at fair value using valuation techniques in which current market transactions or observable market data are not available. Their fair value is determined by using valuation models that have been tested against prices or inputs to actual market transactions and also using the best estimate of the most appropriate model assumptions. Models are adjusted to reflect the spread for bid and ask prices to reflect costs to close out positions, credit and debit valuation adjustments, liquidity spread and limitations in the models. Also, profit or loss calculated when such financial instruments are first recorded ('Day 1' profit or loss) is deferred and recognized only when the inputs become observable or on derecognition of the instrument.

3.2 Inventories

Inventories consist of stationaries purchased for the office use. Inventories are measured at lower of cost or net realizable value.

Cost of inventories is based on the first in first out principle, and includes expenditure incurred in acquiring the inventories and other costs incurred in bringing them to their existing location and condition.

3.3 Property, plant and equipment

Property, plant and equipment are tangible items that are held for use in the supply of services, or for administrative purposes and are expected to be used for more than one year period.

3.3.1 Recognition

Property, plant and equipment are recognized if it is probable that future economic benefits associated with the assets will flow to the company and cost of the asset can be reliably measured. The cost of certain items of property, plant and equipment was determined by reference to a previous SLASs revaluation. The company elected to apply the optional exemption to use this previous revaluation as deemed cost at 01st April, 2011, the date of transition.

3.3.2 Measurement

Items of property, plant and equipment are stated at cost or valuation less accumulated depreciation and accumulated impairment losses.

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the cost of dismantling and removing the items and restoring the site on which they are located.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment, and are recognized net within other income in profit and loss.

Purchased software that is integrated to the functionality of the related equipment is capitalized as intangible assets.

3.3.3 Subsequent expenditure

Expenditure incurred to replace a component of an item of property, plant and equipment that is accounted for separately, including major inspection and overhaul expenditure, is capitalized. The cost of replacing part of an item of property, plant and equipment is recognized in the carrying amount of the item, if it is probable that the future economic benefits embodied within the part will flow to the company and its cost can be measured reliably. The carrying amount of the replaced part is derecognized. The cost of the day-to-day servicing of property, plant and equipment are recognized in profit or loss as incurred. When replaced costs are recognized in the carrying amount of an item of property, plant and equipment, the remaining carrying amount of the replaced part is derecognized.

3.3.4 Depreciation

Depreciation is recognized in the income statement on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leased assets are depreciated over the shorter of the lease terms and other useful lives unless it is reasonably certain that the company will obtain ownership by the end of the lease period.

The estimated useful lives for the current and comparative periods are as follows:

Freehold buildings	50 years
furniture and fittings	04 years
office equipment	04 years
computer equipment	04 years
motor vehicles	04 years

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by the management. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale (or included in a disposal group that is classified as held for sale) and the date that the asset is derecognized.

Depreciation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.4 Finance and operating leases

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

3.4.1 Finance lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets but not necessarily a legal title, are classified as finance leases. When the company is a lessor under a finance lease the amounts due under the lease, after deduction of unearned charges, are included in 'loans and receivables from customers'. The finance income receivable is recognized in 'interest income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

When the company is a lessee under finance leases, the leased assets are capitalised and included in 'property, plant and equipment' and the corresponding liability to the lessor is included in 'other liabilities'. A finance lease and its corresponding liability are recognized initially at the fair value of the asset or, if lower, the present value of the minimum lease payments. Finance charges payable are recognized in 'net interest income' over the period of the lease based on the interest rate implicit in the lease so as to give a constant rate of interest on the remaining balance of the liability.

3.4.2 Operating lease

All other leases are classified as operating leases. When acting as lessor, the company includes the assets subject to operating leases in 'property, plant and equipment' and accounts for them accordingly. Impairment losses are recognized to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired. When the company is the lessee, leased assets are not recognized on the statement of financial position. Rentals payable and receivable under operating leases are accounted for on a straight-line basis over the periods of the leases and are included in 'general and administrative expenses' and 'other operating income', respectively.

3.5 Intangible assets

Intangible assets acquired separately are measured initially at cost. Following the initial recognition of the intangible assets, the cost model is applied requiring the assets to be carried at cost less any accumulated amortization and accumulated impairment losses.

3.5.1 Intangible assets with finite lives and amortization

Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the income statement in the expense category consistent with the function/nature of the intangible asset. Amortization is commenced when the assets are available for use.

3.5.1.1 Computer software

Computer software is amortized over four years from the date of acquisition.

3.5.2 Intangible assets with indefinite lives and amortization

Intangible assets with indefinite useful lives are not amortized but are tested for impairment annually either individually or at the CGU level as appropriate, when circumstances indicate that the carrying value is impaired. The useful life of an intangible asset with an indefinite life is reviewed annually to determine whether indefinite life assessment continues to be supportable. If not, the change in the useful life assessment from indefinite to finite is made on a prospective basis.

3.5.2.1 Brand value

Brand value is not amortized and are tested for impairment annually.

3.5.3 Derecognition of intangible assets

Intangible assets derecognized on disposal or when no future economic benefits are expected from its use. Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net proceeds and the carrying amount of the asset and are recognized in the income statement.

3.6 Impairment of non-financial assets

3.6.1 Recognition

The carrying values of the company's assets are reviewed at each reporting date to determine whether there is any indication of impairment.

If any such indication exists, the asset's recoverable amount is estimated (see below). An impairment loss is recognized whenever the carrying amount of asset or its cash-generating unit exceeds its recoverable amount. Impairment losses are recognized in the income statement.

For the assets that have indefinite useful life and intangible assets that are not yet available for use, the recoverable amount is estimated at each reporting date.

3.6.2 Calculation of recoverable amount

The recoverable amount is the greater of their net selling and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using discount rate that reflects the current market assessment of their time value of money and the risk specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

3.6.3 Reversal of impairment

An impairment loss is reversed if there is a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

3.7 Deposits due to customers

These include term deposits and certificates of deposits. Subsequent to initial recognition, deposits are measured at their amortised cost using the effective interest method, except where the company designates liabilities at fair value through profit or loss. They are stated in the statement of financial position at amount payable. Interest paid / payable on these deposits based on effective interest rate is charged to the income statement.

3.8 Debt securities issued and subordinated term debts

These represent the funds borrowed by the company for long-term funding requirements. Subsequent to initial recognition debt securities issued are measured at their amortised cost using the effective interest method, except where the company designates debt securities issued at fair value through profit or loss. Interest paid/payable is recognized in the income statement.

3.9 Other liabilities

Other liabilities are recorded at amounts expected to be payable at the reporting date.

3.10 Employee benefits

3.10.1 Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognized as an employee benefit expense in profit or loss in the periods during which services are rendered by employees.

3.10.1.1 Employees' Provident Fund (EPF)

The company and employees contribute 12% and 8% respectively on the salary of each employee to the approved provident fund.

3.10.1.2 Employees' Trust Fund (ETF)

The company contributes 3% of the salary of each employee to the Employees' Trust Fund.

3.10.2 Defined benefit plans

3.10.2.1 Retirement benefit obligations

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The company's net obligation in respect of defined benefit pension plans is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognized past service costs are deducted.

The calculation is performed by a qualified actuary using "Projected Unit Credit" method. For the purpose of determining the charge for any period before the next regular actuarial valuation falls due, an approximate estimate provided by the qualified actuary is used. The assumptions based on which the results of actuarial valuation was determined are included in the note 31 to the financial statements.

The company recognizes all actuarial gains and losses arising from the defined benefit plan and all expenses related to defined benefit plans in the income statement and actuarial gains and losses in the other comprehensive income.

This retirement benefit obligation is not externally funded.

However, according to the payment of Gratuity Act No. 12 of 1983, the liability for the gratuity payment to an employee arises only on the completion of 5 years of continued service with the company.

3.10.3 Short term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

3.11 Provisions

A provision is recognized in the statement of financial position when the company has a legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation and the amount of the provision can be measured reliably in accordance with the Sri Lanka Accounting Standard - LKAS 37 on 'Provisions, Contingent Liabilities and Contingent Assets'.

The amount recognized is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is determined based on the present value of those cash flows.

3.12 Capital commitments and contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefits is not probable or cannot be reliably measured.

Capital commitment and contingent liabilities of the company are disclosed in the respective notes to the financial statements.

3.13 Events occurring after the reporting date

All material events after the reporting period have been considered and where appropriate adjustments or disclosures have been made in the respective notes to the financial statements.

3.14 Income statement

3.14.1 Revenue recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured. The following specific recognition criteria are ascertained before revenue is recognized.

3.14.1.1 Interest income and interest expense

For all financial instruments measured at amortised cost, interest bearing financial assets classified as available for sale and financial instruments designated at fair value through profit or loss, interest income or expense is recorded using the EIR. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability.

The calculation takes into account all contractual terms of the financial instrument (for example, pre-payment options) and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, but not future credit losses.

The calculation of the EIR takes into account all contractual terms of the financial instrument (for example, pre-payment options) and includes all material transaction costs and fees and points paid or received that are an integral part of the EIR. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability.

The carrying amount of the financial asset or financial liability is adjusted if the company revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original EIR and the change in carrying amount is recorded in 'Interest Income' for financial assets and in 'Interest and similar expense' for financial liabilities. However, for a reclassified financial asset for which the company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognized as an adjustment to the EIR from the date of the change in estimate. Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognized using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

3.14.1.2 Dividend income

Dividend income is recognized when the company's right to receive the payment is established.

3.14.1.3 Fees and commission income and expense

Fees and commission income and expense that are integral to the EIR on a financial asset or liability are included in the measurement of the EIR. Other fees and commission income are recognized as the related services are performed.

3.14.1.4 Interest on overdue rentals

Overdue interest is charged on loans and advances which are not paid on due date and accounted for on the cash basis.

3.14.1.5 Profit or loss on disposal of property, plant and equipment

Profits or losses resulting from disposal of property, plant and equipment have been accounted on cash basis in the income statement.

3.14.1.6 Recovery of bad and doubtful debts written off

Recovery of amounts written off as bad and doubtful debts is recognized on a cash basis.

3.14.2 Expenditure

All expenditure incurred in running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to revenue in arriving at the profit for the year.

Expenditure incurred for the purpose acquiring, expanding or improving assets of a permanent nature by means of which to carry on the business or for the purpose of increasing the earning capacity of the business has been treated as capital expenditure.

Repairs and renewals are charged to revenue in the year in which the expenditure is incurred.

Minimum lease payments made under finance leases are apportioned between the finance expense and the reduction of the outstanding liability.

The finance expense is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability. Contingent lease payments are accounted for by revising the minimum lease payments over the remaining term of the lease when the lease adjustment is confirmed.

The profit earned by the company before taxation as shown in the Income Statement is after making provision for all known liabilities and for the depreciation of property, plant and equipment.

3.14.2.1 Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of qualifying assets that take a substantial period of time to get ready for its intended use or sale, are capitalized as part of the asset.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognized in profit or loss using the effective interest method.

3.15 Taxes

3.15.1 Income tax expense

Income tax on the profit for the year comprises current and deferred tax. Income tax is recognized directly in the income statement except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity.

Current taxes

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the taxation authorities in respect of the current as well as prior years. The tax rates and tax laws used to compute the amounts are those that are enacted or substantially enacted by the reporting date. Accordingly, provision for taxation is made on the basis of the accounting profit for the year as adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 10 of 2006 and the amendments thereto, at the rates specified in the note 12 to the financial statements. This note also includes the major components of tax expense, the effective tax rates and a reconciliation between the profit before tax and tax expense as required by the Sri Lanka Accounting Standard – LKAS 12 on ‘Income Taxes’.

Deferred Tax

Deferred tax is provided on all temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount of assets and liabilities, using tax rates enacted by the reporting date.

Deferred tax assets including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

3.15.2 Value Added Tax on financial services

VAT on financial services is calculated in accordance with the amended VAT Act No.07 of 2003. The Base for the computation of VAT on financial services is the accounting profit before income tax adjusted for the economic depreciation and emoluments of employees computed on prescribed rate.

3.15.3 Withholding Tax on dividends

Dividends distributed out of taxable profit of the local companies attract a 10% deduction at source and is not available for set off against the tax liability of the company. Withholding Tax that arises from the distribution of dividends by the company is recognized at the same time as the liability to pay the related dividends is recognized.

3.15.4 Nation Building Tax (NBT) on financial services

NBT on financial services is calculated in accordance with Nation Building Tax (Amendment) Act No. 10 of 2014. NBT on financial services is payable on same base subject to Value Added Tax on financial services.

3.15.5 Crop Insurance Levy (CIL)

As per the provisions of the Section 14 of the Finance Act No. 12 of 2013, the CIL was introduced with effect from 01st April, 2013 and is payable to the National Insurance Trust Fund. Currently, the CIL is payable at 1% of the profit after tax.

3.16 Earnings per share

The financial statements present basic earnings per share (EPS) for its ordinary shareholders. The basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares.

3.17 Cash flow statement

The cash flow statement has been prepared using the “indirect method”. Interest paid are classified as operating cash flows, interest and dividend received are classified as investing cash flows while dividends paid are classified as financing cash flows for the purpose of presenting of the cash flow statement.

3.18 Regulatory provisions

3.18.1 Deposit insurance scheme

In terms of the Finance Companies Direction No 2 of 2010 “Insurance of Deposit Liabilities” issued on 27th September, 2010 all registered finance companies are required to insure their deposit liabilities in the deposit insurance scheme operated by the Monetary Board in terms of Sri Lanka Deposit Insurance Scheme Regulations No 1 of 2010 issued under Sections 32A to 32E of the Monetary Law Act with effect from 01st October, 2010. Deposits to be insured include demand, time and savings deposit liabilities and exclude the following:

- Deposit liabilities to member institutions.
- Deposit liabilities to Government of Sri Lanka.
- Deposit liabilities to shareholders, directors, key management personnel and other related parties as defined in Finance Companies Act Direction No 03 of 2008 on Corporate Governance of registered finance companies.
- Deposit liabilities held as collateral against any accommodation granted.
- Deposit liabilities falling within the meaning of dormant deposits in terms of the Finance Companies Act, funds of which have been transferred to Central Bank of Sri Lanka.

Registered finance companies are required to pay a premium of 0.15% on eligible deposit liabilities as at the end of the month to be payable within a period of 15 days from the end of the respective month.

3.19 Reserves

3.19.1 Statutory reserve fund

The statutory reserve fund is maintained in terms of licensed finance company (Capital Funds) direction No.01 of 2003. Accordingly, the company should transfer funds out of net profits of each year after due provision has been made for taxation and bad and doubtful debts.

- If capital funds are not less than twenty five percent of total deposit liabilities a sum equal to not less than five percent of the net profits;
- If capital funds are less than twenty five percent of total deposit liabilities but not less than ten percent thereof, a sum equal to not less than twenty percent of the net profits;
- If capital funds are less than ten percent of total deposit liabilities a sum equal to not less than fifty percent of the net profits.

3.19.2 Available for sale reserve

This has been created in order to account the fair value changes of available for sale financial assets.

3.20 Segment reporting

An operating segment is a component of the company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the company's other components, whose operating results are reviewed regularly by the company's management to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

For each of the strategic divisions, the company's management monitors the operating results separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses which, in certain respects, are measured differently from operating profits or losses in the financial statements. Income taxes are managed on a company basis and are not allocated to operating segments.

3.21 Standards issued but not yet effective

The following Sri Lanka Accounting Standards were issued by the Institute of Chartered Accountants of Sri Lanka and is effective for the periods commencing on or after of 01st January, 2017.

SLFRS 9 - Financial instruments: classification and measurement

SLFRS 9, as issued, reflects the first phase of work on replacement of LKAS 39 and applies to classification and measurement of financial assets and liabilities as defined in LKAS 39.

SLFRS 09 was issued in 2012 and this standard will become effective on 01st January, 2018.

Company has appointed a consultant to analyse the impact on this. The impact on the implementation of the above standard has not been quantified yet.

SLFRS 15 - Revenue from contracts with customers

The objective of this standard is to establish the principles that an entity shall apply to report useful information to users of financial statements about the nature, amount, timing and uncertainty of revenue and cash flows arising from a contract with a customer.

SLFRS 15 will become effective on 01st January, 2018. The impact on the implementation of the above standard has not been quantified yet.

IFRS 16 - Leases

IFRS 16 eliminates the classification of leases as either operating or finance for lessees and instead, introduce a single lessee accounting model. This model reflects that leases result in a company obtaining the right to use an asset at the start of the lease and, because most lease payments are made over time, also, obtaining financing. As a result, the new standard requires lessees to account for all of their leases in a manner similar to how finance leases were treated applying IAS 17.

The new standard IFRS 16, supersedes the requirement in IAS 17 leases and will become effective on 01st January, 2019.

For the year ended 31st March

	2017	2016
	Rs.	Rs.
4. INCOME		
Interest income (Note 5)	3,128,709,442	2,229,745,733
Fee and commission income (Note 7)	129,889,739	84,986,691
Other operating income (Note 8)	51,137,015	48,419,248
	<u>3,309,736,196</u>	<u>2,363,151,672</u>
5. INTEREST INCOME		
Finance lease	2,053,005,287	1,179,007,211
Hire purchase	321,223,114	620,915,522
Factoring	229,367,517	109,033,085
Loans	405,937,825	237,059,137
Gold loans	5,477,868	915,781
Interest income on investments	113,697,831	82,814,997
	<u>3,128,709,442</u>	<u>2,229,745,733</u>
6. INTEREST EXPENSES		
Interest expense on borrowings	578,428,838	170,205,584
Interest expense on customer deposits	1,077,925,665	808,726,007
Interest expense on debentures	108,988,015	103,076,054
Interest expense on preference shares	6,904,966	-
Interest expense on negotiable instruments	4,908,451	742,190
Overdraft interest	59,340,069	13,702,867
	<u>1,836,496,004</u>	<u>1,096,452,702</u>
7. FEE AND COMMISSION INCOME		
Documentation income -Lease and hire purchases	53,270,569	33,602,045
Administration charges -Factoring	47,288,126	28,067,531
Service charges - Pawning	642,120	-
Insurance commission	28,688,924	23,317,115
	<u>129,889,739</u>	<u>84,986,691</u>
8. OTHER OPERATING INCOME		
Collections from written off contracts	22,490,458	7,100,574
Profit on disposal of property, plant and equipment	15,283,673	36,700,876
Profit on sale of real estate	6,105,716	595,136
Rent income	1,160,941	1,653,200
Dividend income	140,400	-
Sundry income	5,955,827	2,369,462
	<u>51,137,015</u>	<u>48,419,248</u>

For the year ended 31st March

	2017 Rs.	2016 Rs.
9. IMPAIRMENT CHARGES/(REVERSALS) FOR LOANS AND RECEIVABLES TO CUSTOMERS		
Specific impairment		
Finance lease	165,821,917	45,590,622
Hire purchase	41,457,268	207,636,590
Loans	109,547,691	13,873,810
Factoring	21,671,153	9,202,437
Pawning	853,968	(288,324)
Collective impairment		
Finance lease	39,830,951	24,289,245
Hire purchase	(66,382,956)	27,708,525
Loan	8,976,218	983,708
	<u>321,776,210</u>	<u>328,996,613</u>
10. PERSONNEL EXPENSES		
Salaries and other related expenses	280,564,002	229,623,617
Defined contribution plan - EPF	26,822,649	20,529,872
- ETF	6,705,942	5,132,466
Defined benefit plan - Gratuity	9,683,361	2,552,085
	<u>323,775,954</u>	<u>257,838,040</u>
11. OTHER OPERATING EXPENSES		
Directors' emoluments	6,140,200	6,120,650
Auditor's remuneration	1,352,500	1,882,380
Professional and legal fees	27,399,724	17,697,195
Charity and donations	600,155	37,325
Administration and establishment expenses	318,401,542	243,493,292
Advertising and business promotional expenses	62,370,792	67,446,961
Other expenses	2,252,115	3,756,232
	<u>418,517,028</u>	<u>340,434,035</u>

For the year ended 31st March

	2017 Rs.	2016 Rs.
12. INCOME TAX EXPENSE		
Current Tax		
On current year profits (Note 12.1)	-	-
Under provision in respect of previous years	-	14,492,176
Deferred Tax		
Deferred tax reversed to the income statement (Note 21)	43,803,275	(325,503,993)
Income tax expense for the year	<u>43,803,275</u>	<u>(311,011,817)</u>

12.1 Reconciliation between accounting profit and taxable income

Profit before income tax expense	301,479,486	295,860,718
Adjustments on disallowable expenses	4,450,993,128	2,342,328,987
Adjustments on allowable expenses	(4,628,282,398)	(2,519,946,536)
Statutory income	124,190,216	118,243,169
Less: Tax loss claimed (Note 12.2)	(43,466,576)	(41,385,109)
Assessable income	80,723,640	76,858,060
Less: Utilization of qualifying payments (Note 12.3)	(80,723,640)	(76,858,060)
Taxable profit for the year	-	-
Effective tax rate	0.00%	0.00%

12.2 Tax losses

Tax losses brought forward	835,251,392	179,679,879
Tax losses brought forward from former Orient Finance PLC	-	616,353,238
Tax losses on Leasing Business during the year	875,369,549	80,603,384
Tax losses claimed during the year	(43,466,576)	(41,385,109)
Tax losses carried forward	<u>1,667,154,365</u>	<u>835,251,392</u>

12.3 Qualifying payment on investment

Consideration paid to acquire former Orient Finance PLC	1,730,906,250	1,730,906,250
Less : Utilised in prior years	(76,858,060)	-
Less : Utilised during the year	(80,723,640)	(76,858,060)
Balance qualifying payment carried forward	<u>1,573,324,550</u>	<u>1,654,048,190</u>

12.4 Current tax

The company is liable for tax at the rate of 28% on its taxable income in accordance with the Inland Revenue Act No. 10 of 2006 and subsequent amendments made thereto.

13 EARNINGS PER SHARE

13.1 Basic earnings per share

The calculation of earnings per share is based on the profit attributable to the ordinary shareholders for the year divided by the weighted average number of ordinary shares outstanding during the year.

For the year ended 31st March,

	2017 Rs.	2016 Rs.
Profit attributable to ordinary shareholders (Rs.)	257,676,211	606,872,535
Weighted average number of ordinary shares	148,018,370	86,700,751
Earnings per share (Rs.)	<u>1.74</u>	<u>7.00</u>
Weighted average number of ordinary shares		
Shares issued prior to 01st April, 2016	7,650,624	7,650,624
Effect on shares issued in lieu of amalgamation	1,068	821
1:10 subdivision of shares	68,863,005	68,863,005
Effect on shares issued at IPO	71,503,673	10,186,301
At the end of the year	<u>148,018,370</u>	<u>86,700,751</u>

13.2 Diluted earnings per share

There were no potential dilutive ordinary shares at any time during the year or previous year. Therefore, diluted earnings per share is same as basic earnings per share shown above.

14. DIVIDEND PER SHARE

The dividend per share is based on the dividend paid during the year and the number of ordinary shares outstanding as at that date.

For the year ended 31st March

	2017	2016
	Rs	Rs
Dividend paid	-	-
Final dividend (Rs.)	-	-
Dividend per share (Rs.)	-	-

As at 31st March

15 CASH AND CASH EQUIVALENTS

	2017	2016
	Rs	Rs
Cash in hand	85,700,169	25,988,300
Cash at bank	22,194,181	205,689,398
	107,894,350	231,677,698
Bank overdrafts	(598,251,884)	(433,373,124)
Cash and cash equivalents for the purpose of cash flow statement	(490,357,534)	(201,695,426)

16. AVAILABLE FOR SALE FINANCIAL ASSETS

Investments in government securities (Note 16.1)	839,656,469	751,086,590
Investments in shares (Note 16.2)	230,600	5,037,514
	839,887,069	756,124,104

16.1 Investments in government securities

Treasury bills	839,656,469	626,092,090
Treasury bonds	-	124,994,500
Government securities at fair value	839,656,469	751,086,590

16.2 Investments in shares

Finance House Consortium (Pvt) Ltd	200,000	200,000
Ceylon Index Fund	-	4,806,914
Credit Information Bureau of Sri Lanka	30,600	30,600
	230,600	5,037,514

As at 31st March

	2017 Rs.	2016 Rs.
17 LOANS AND RECEIVABLES TO CUSTOMERS		
Loans and receivables	22,237,850,219	18,818,074,451
Less: Unearned income	(5,157,654,540)	(4,188,926,604)
Net loans and receivables	17,080,195,679	14,629,147,847
Less: Allowance for specific impairment	(481,628,206)	(589,803,565)
Allowance for collective impairment	(182,464,329)	(200,040,116)
Net loans and receivables	16,416,103,144	13,839,304,166
17.1 Product wise analysis of net loans and receivables		
Finance lease receivables (Note 17.1.1)	11,276,603,861	8,370,967,264
Hire purchase receivables (Note 17.1.2)	822,858,087	2,206,588,971
Other loans receivables (Note 17.1.3)	2,811,938,685	2,073,436,770
Factoring receivables (Note 17.1.4)	1,453,645,309	1,181,470,925
Gold loans receivables (Note 17.1.5)	51,057,202	6,840,236
	16,416,103,144	13,839,304,166
17.1.1 Finance lease receivables		
Gross lease rentals receivables	16,086,805,610	11,950,889,842
Less: Unearned income	(4,444,573,196)	(3,220,671,062)
Net lease rentals receivable	11,642,232,414	8,730,218,780
Less: Allowance for impairment	(365,628,553)	(359,251,516)
Net finance lease receivables	11,276,603,861	8,370,967,264
Lease rentals receivables within one year		
Gross lease rentals receivables within one year	5,470,347,329	4,339,158,704
Less: Unearned income	(1,917,876,507)	(1,423,858,164)
Net lease rentals receivables within one year	3,552,470,822	2,915,300,540
Lease rentals receivables within one to five years		
Gross lease rentals receivables within one to five years	10,567,054,536	7,606,797,020
Less: Unearned income	(2,477,292,944)	(1,796,486,034)
Net lease rentals receivables within one to five years	8,089,761,592	5,810,310,986
Lease rentals receivables later than five years		
Gross lease rentals receivables later than five years	-	4,934,118
Less: Unearned income	-	(326,864)
Net lease rentals receivables later than five years	-	4,607,254
Total	11,642,232,414	8,730,218,780

As at 31st March

17 LOANS AND RECEIVABLES TO CUSTOMERS (CONTD...)

17.1.2 Hire purchase receivables

	2017 Rs.	2016 Rs.
Gross hire purchase rentals receivables	1,112,374,936	3,147,664,141
Less: Unearned income	(134,347,948)	(554,748,563)
Net hire purchase rentals receivables	978,026,988	2,592,915,578
Less: Allowance for impairment	(155,168,901)	(386,326,607)
Net hire purchase receivables	822,858,087	2,206,588,971

Hire purchase rentals receivables within one year

Gross hire purchase rentals receivables within one year	805,125,288	1,773,334,874
Less: Unearned income	(96,700,012)	(360,792,080)
Net hire purchase rentals receivables within one year	708,425,276	1,412,542,794

Hire purchase rentals receivables within one to five years

Gross hire purchase rentals receivables within one to five years	304,538,864	1,352,006,300
Less: Unearned income	(37,409,653)	(188,373,864)
Net hire purchase rentals receivables within one to five years	267,129,211	1,163,632,436

Hire purchase rentals receivables after five years

Gross hire purchase rentals receivables after five years	2,710,785	22,322,967
Less: Unearned income	(238,284)	(5,582,619)
Net hire purchase rentals receivables after five years	2,472,501	16,740,348
	978,026,988	2,592,915,578

17.1.3 Other loans receivables

Gross other loans rentals receivables	3,490,839,827	2,505,812,182
Less: Unearned income	(578,733,396)	(413,506,979)
Net other loans rentals receivables	2,912,106,431	2,092,305,203
Less: Allowance for impairment	(100,167,746)	(18,868,433)
Net other loans receivables	2,811,938,685	2,073,436,770

Other loans receivables within one year

Gross other loans rentals receivables within one year	2,125,700,467	1,436,794,625
Less: Unearned income	(315,752,033)	(211,103,875)
Net other loans rentals receivables within one year	1,809,948,434	1,225,690,750

Other loans receivables within one to five years

Gross other loans rentals receivables within one to five years	1,414,382,993	1,046,069,648
Less: Unearned income	(312,382,190)	(196,465,608)
Net other loans rentals receivables within one to five years	1,102,000,803	849,604,040

Other loans receivables later than five years

Gross other loans rentals receivables later than five years	160,112	22,947,909
Less: Unearned income	(2,918)	(5,937,496)
Net other loans rentals receivables later than five years	157,194	17,010,413

Total

2,912,106,431	2,092,305,203
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As at 31st March

	2017 Rs.	2016 Rs.
17.1.4 Factoring receivables		
Factoring receivables	1,495,918,676	1,206,868,050
Less: Allowance for impairment	(42,273,367)	(25,397,125)
Net factoring receivables	1,453,645,309	1,181,470,925
17.1.5 Pawning receivables		
Pawning receivables	51,911,170	6,840,236
Less: Provision for specific impairment	(853,968)	-
Net pawning receivables	51,057,202	6,840,236

17.1.6 During the year the board has written off contract receivables worth of Rs.447,527,355/- (2015/16 - Rs.294,685,656/-) which were fully impaired. These were already provided for in the previous year under specific impairment.

17.1.7 Movement in specific and collective impairment charges during the year

	Finance lease Rs.	Hire purchase Rs.	Loans and others Rs.	Factoring Rs.	Pawning Rs.	Total
Balance as at 01.04.2016	359,251,515	386,326,607	18,868,433	25,397,125	-	789,843,680
Charge/(reversal) for the year	205,652,870	(24,925,689)	118,523,909	21,671,152	853,968	321,776,210
Written off during the year	(199,275,832)	(206,232,017)	(37,224,596)	(4,794,910)	-	(447,527,355)
Balance as at 31.03.2017	365,628,553	155,168,901	100,167,746	42,273,367	853,968	664,092,535
Specific impairment	223,620,660	124,672,391	90,207,820	42,273,367	853,968	481,628,206
Collective impairment	142,007,893	30,496,510	9,959,926	-	-	182,464,329
	365,628,553	155,168,901	100,167,746	42,273,367	853,968	664,092,535

As at 31st March

	2017 Rs.	2016 Rs.
18. INVESTMENTS WITH BANKS AND OTHER FINANCIAL INSTITUTIONS		
Investments in fixed deposits	368,056,864	430,949,855
Investments in debentures	1,103,200	1,379,358
	<u>369,160,064</u>	<u>432,329,213</u>
19. OTHER ASSETS		
Advances paid	13,989,246	15,890,304
Interest receivable	-	1,474,903
Insurance commissions receivable	11,709,069	8,204,717
VAT receivables	8,996,902	27,939,707
ESC and WHT recoverable	67,874,327	62,004,852
Deposits and prepayments	94,477,481	132,127,012
	<u>197,047,025</u>	<u>247,641,495</u>
20. REAL ESTATE STOCK		
Naranwala project	2,215,527	2,225,527
Kiriberiya project	5,707,198	16,197,599
Matale project	9,381,085	9,363,085
Maddawaththa project	1,536,851	1,495,131
Chillaw project	3,628,863	17,126,508
	<u>22,469,524</u>	<u>46,407,850</u>
21. DEFERRED TAX ASSET		
Balance at the beginning of the year	319,518,080	(50,300,826)
Transferred from former Orient Finance PLC	-	43,793,855
Reversal/(charge) for the year	(43,803,275)	325,503,993
Deferred tax effect on actuarial gain	(92,525)	521,058
Balance at the end of the year	<u>275,622,280</u>	<u>319,518,080</u>
21.1 Deferred tax assets		
The amount recognized as deferred tax asset is as follows:		
Property, plant and equipment and intangible assets	(36,702,120)	(32,927,720)
Lease assets	(38,382,680)	(152,642,280)
Gratuity	12,571,800	10,878,840
Tax losses carried forward	100,398,760	233,870,280
Qualifying payment on purchase consideration of amalgamation	237,736,520	260,338,960
	<u>275,622,280</u>	<u>319,518,080</u>

22. GOODWILL ON ACQUISITION

Goodwill amounting to Rs. 564,545,746 was recognized in the financial statements of the company for the year ended 31st March, 2016 due to the amalgamation of Orient Finance PLC with Bartleet Finance PLC.

Total consideration paid	1,730,906,250
Total identifiable net assets	1,166,360,504
Goodwill	<u>564,545,746</u>

The Management has assessed the potential impairment indicators of Goodwill, as at 31st March, 2017. The recoverable amount of the goodwill of the existing company on post amalgamation, has been determined based on value in use calculation using cash flow projections done by the Management. The projected cash flows were determined based on past performances and Management expectations for market developments.

22.1 Brand value

Out of the total goodwill on the acquisition of former Orient Finance PLC, Rs. 235,880,000 has been attributed as Brand Value of Former Orient Finance PLC based on the independent Professional Valuation carried out by KPMG.

Valuation methodology and principal assumptions used for the brand valuation

"Income approach" has been considered for the valuation of brand by the independent professional valuer and following principal assumptions were used.

- Implied royalty rate - 1.68%
- Cost of equity - 19.67% (risk free rate - 9.67% + equity risk premium - 5% + alpha 5%)
- Terminal growth rate - 2%
- Terminal multiplier 5.77

To determine an appropriate royalty rates for the trade names, Independent professional valuer has considered royalty rates available in the international markets for banking and finance related brands/trade marks.

23. INTANGIBLE ASSETS

As at 31st March	2017 Rs.	2016 Rs.
Computer software		
Cost		
Balance at the beginning of the year	9,312,960	-
Transferred from former Orient Finance PLC	-	9,312,960
Balance at the end of the year	<u>9,312,960</u>	<u>9,312,960</u>
Accumulated amortization		
Balance at the beginning of the year	8,795,302	-
Transferred from former Orient Finance PLC	-	8,326,552
Amortized during the year	412,148	468,750
Balance at the end of the year	<u>9,207,450</u>	<u>8,795,302</u>
Carrying amount as at 31st March	<u>105,510</u>	<u>517,658</u>

23.1 There were no capitalized borrowing costs related to the internal development of software during the year (2015/2016 - Nil).

24. PROPERTY, PLANT AND EQUIPMENT

Cost	Land Rs.	Buildings Rs.	Furniture and fittings Rs.	Office equipment Rs.	Computer equipment Rs.	Motor vehicles Rs.	Total Rs.
Balance as at 01st April 2016	108,923,000	294,865,468	49,464,577	64,820,555	100,020,050	29,680,792	647,774,442
Additions during the year	-	-	2,759,751	3,769,773	11,432,823	-	17,962,347
Disposals during the year	-	-	(1,477,746)	(4,872,252)	(946,393)	(28,538,917)	(35,835,308)
Balance as at 31st March 2017	108,923,000	294,865,468	50,746,582	63,718,076	110,506,480	1,141,875	629,901,481
Depreciation							
Balance as at 01st April 2016	-	12,528,619	37,985,790	48,525,558	86,765,080	23,233,275	209,038,322
Charge for the year	-	5,897,310	6,251,640	9,389,119	7,326,484	1,663,955	30,528,508
On disposals	-	-	(1,467,730)	(4,811,050)	(946,384)	(23,755,355)	(30,980,519)
Balance as at 31st March 2017	-	18,425,929	42,769,700	53,103,627	93,145,180	1,141,875	208,586,311
Carrying amount as at 31st March 2017	108,923,000	276,439,539	7,976,882	10,614,449	17,361,300	-	421,315,170
Carrying amount as at 31st March 2016	108,923,000	282,336,849	11,478,787	16,294,997	13,254,971	6,447,517	438,736,121

24.1 Based on the assessment of potential impairment carried out internally, for property, plant and equipment by the board of directors as at 31st March, 2017, no provision was required to be made in the financial statements.

24.2 Property, plant and equipment included fully depreciated assets having a gross amount of Rs.172,676,437 as at 31st March, 2017. (Rs.149,563,836/-as of 31.03.2016)

24.3 There were no capitalized borrowing costs related to the acquisition of property, plant and equipment during the year (2015/2016 -nil).

24.4 There were no restrictions on the title of the property, plant and equipment as at 31st March, 2017.

24.5 There were no items of property, plant and equipment pledged as security as at 31st March, 2017 except Matara and Kalutara buildings disclosed in asset pledged note.

24.6 There were no temporary idle items of Property, Plant and equipment as at 31st March, 2017.

24.7 Details of Freehold Land and Buildings

Location	Address	Land Extent	Valuation of the Land	Building Area (Sq.Ft)	Valuation of the Building
Ethulkotte	School Avenue, Mahindarama Road, Ethul Kotte, Kotte	10.0 Perches	5,000,000	-	-
Matara	38, Station Road, Matara	37.8 Perches	68,040,000	9,400 Sq. Ft	36,700,000
Kalutara	197/4, Galle Road, Kalutara	39.87 Perches	35,883,000	36,141 Sq. Ft	258,165,468
			108,923,000		294,865,468

As at 31st March,

	2017 Rs.	2016 Rs.
25. DEPOSITS FROM CUSTOMERS		
Fixed deposits (Note 25.1)	9,496,983,402	9,198,591,459
Savings deposits	68,576,560	50,720,934
	<u>9,565,559,962</u>	<u>9,249,312,393</u>
25.1 Public deposits	9,223,333,378	8,883,878,878
Interest accrued	273,650,024	314,712,581
Public deposits at amortized cost	<u>9,496,983,402</u>	<u>9,198,591,459</u>
25.2 Rs.1,962,675,244/- (2015/2016 - Rs.1,698,393,626/) of deposits from customers are expected to be matured after 12 months period from the reporting date, 31st March, 2017.		
26. INTEREST BEARING BORROWINGS		
Institutional borrowings (Note 26.1)	4,802,268,132	3,250,798,278
Promissory notes	12,882,323	11,939,272
	<u>4,815,150,455</u>	<u>3,262,737,550</u>
26.1 Movement in institutional borrowings		
Balance at the beginning of the year	3,222,159,355	31,760,395
Transferred from former Orient Finance PLC	-	1,791,609,243
Obtained during the year	10,143,888,000	5,839,204,525
Payments made during the year	(8,619,381,488)	(4,440,414,808)
Balance before adjusting for amortized interest	<u>4,746,665,867</u>	<u>3,222,159,355</u>
Net effect on amortized interest payable	55,602,265	28,638,923
Balance at the end of the year	<u>4,802,268,132</u>	<u>3,250,798,278</u>
26.2 Interest bearing borrowings - Current and non-current		
Payable within one year	3,270,214,981	2,304,401,797
Payable after one year (1 -5 years)	1,544,935,474	958,335,753
	<u>4,815,150,455</u>	<u>3,262,737,550</u>

26. INTEREST BEARING BORROWINGS (CONTD....)

26.3 Institutional borrowings

Bank	Facility amount Rs.	Capital outstanding as at 31.03.2017 Rs.	Finance cost payable as at 31.03.2017 Rs.	Total payable at amortised cost as at 31.03.2017 Rs.	Tenure of loan (months)	Security offered
Long term loans						
Union Bank PLC	250,000,000	187,499,986	66,940	187,566,926	48	Lease / HP Portfolio
Union Bank PLC	250,000,000	171,874,990	62,252	171,937,242	48	Lease / HP Portfolio
Sampath Bank PLC	250,000,000	164,730,000	312,761	165,042,761	60	Lease / HP Portfolio
Seylan Bank PLC	150,000,000	65,625,000	493,248	66,118,248	48	Lease / HP Portfolio
Seylan Bank PLC	300,000,000	275,000,000	2,341,622	277,341,622	48	Lease / HP Portfolio
Pan Asia Banking Corporation	200,000,000	89,983,054	195,857	90,178,911	48	Lease / HP Portfolio
BOC	700,000,000	491,999,742	-	491,999,742	36	Lease / HP Portfolio
BOC	750,000,000	686,499,998	521,364	687,021,362	36	Lease / HP Portfolio
Short-term loans - Revolving						
National Development Bank PLC	775,000,000	775,000,000	2,921,200	777,921,200	Revolving	Lease / HP Portfolio
National Development Bank PLC	200,000,000	200,000,000	2,480,000	202,480,000	Revolving	Unsecured
Nations Trust Bank PLC	130,000,000	130,000,000	183,767	130,183,767	Revolving	Lease / HP Portfolio
Sampath Bank PLC – Money market	100,000,000	100,000,000	197,260	100,197,260	Revolving	Lease / HP Portfolio
Sampath Bank PLC	500,000,000	500,000,000	986,301	500,986,301	Revolving	Unsecured
Union Bank	200,000,000	200,000,000	1,015,068	201,015,068	Revolving	Lease / HP Portfolio
Cargills Bank PLC	300,000,000	300,000,000	119,178	300,119,178	Revolving	Lease / HP Portfolio
Securitization						
Trust 16 – T1	179,109,115	58,909,370	3,646,951	62,556,321	24	Lease / HP Portfolio
Trust 16 – T2	120,890,885	99,543,727	8,713,198	108,256,925	12	Lease / HP Portfolio
Trust 17	318,100,000	250,000,000	31,345,298	281,345,298	48	Lease / HP Portfolio
		<u>4,746,665,867</u>	<u>55,602,265</u>	<u>4,802,268,132</u>		

As at 31st March					2017 Rs	2016 Rs
27. TERM DEBTS						
Balance at the beginning of the year					1,204,000,000	204,000,000
Transferred from former Orient Finance PLC					-	1,000,000,000
Redeemed during the year					(204,000,000)	-
Balance at the end of the year					1,000,000,000	1,204,000,000
Initial cost on debentures					(38,346,915)	(50,437,319)
Net effect on amortized interest payable					24,063,384	23,350,184
					985,716,469	1,176,912,865
					Value of the debentures as at 31.03.2017 (Rs.)	Value of the debentures as at 31.03.2016 (Rs.)
27.1 Interest payment frequency						
	Allotment date	Maturity date	Effective annual yield			
Monthly	15-Jun-11	15-Jun-16	13%		-	204,000,000
Semi annually	26-Dec-14	26-Dec-19	9.25%		1,000,000,000	1,000,000,000
Balance at the end of the year					1,000,000,000	1,204,000,000
As at 31st March,						
					2017 Rs.	2016 Rs.
28. Redeemable preference shares						
Balance at the beginning of the year					-	-
Issued during the year					400,049,600	-
Balance at the end of the year					400,049,600	-
Net effect on amortized interest payable					6,904,966	-
					406,954,566	-
On 16th February, 2017, the company has issued 4,000,496 new five year, unlisted, redeemable, non convertible, cumulative, non-voting, unsecured, subordinated Preference Shares, to the existing holders of issued ordinary shares of the company in the proportion of one new preference share for every existing thirty seven Ordinary Shares held at a price of Rs.100 per share with a 14% annual dividend per share.						
29. CURRENT TAX PAYABLE						
Balance at the beginning of the year					2,136,340	(54,021)
Transferred from former Orient Finance PLC					-	4,688,905
Adjustments in respect of previous years' under provision (Note 12)					-	14,492,176
Set off - ESC and WHT					-	(14,492,176)
Payments made during the year					-	(2,498,544)
Balance at the end of the year					2,136,340	2,136,340
30. OTHER LIABILITIES						
Vendor payable					423,089,194	474,271,932
Insurance payable					15,508,998	18,169,411
Accrued expenses and other payable					80,680,388	198,389,528
Real estate advances					11,507,156	13,653,874
					530,785,736	704,484,745

	2017 Rs	2016 Rs
31. RETIREMENT BENEFIT OBLIGATIONS		
Balance at the beginning of the year	38,853,036	44,882,599
Transferred from former Orient Finance PLC	-	12,950,858
Amount recognized in the total comprehensive income	9,352,913	4,413,005
Payments during the year	(3,306,664)	(23,393,426)
Balance at the end of the year	44,899,285	38,853,036

The amount recognised in the total comprehensive income is as follows:

31.1 Interest cost	3,885,305	4,135,322
Current service cost	5,798,056	(1,583,237)
Actuarial (gain) /loss recognized	(330,448)	1,860,920
	9,352,913	4,413,005

31.2 An actuarial valuation of the retirement benefit obligation was carried out as at 31st March 2017 by Actuarial and Management Consultants (Pvt) Ltd. The company has estimated its gratuity liability as at 31st March 2017 based on the forecast given by the actuary using the census and assumptions as at 31st March 2017. If the company had provided for gratuity liability in accordance with the payment of Gratuities Act No.12 of 1983, the liability would have been Rs.43,343,847-.

The principal assumptions used were as follows:

	2017	2016
Discount rate	12%	10%
Future salary increases	10%	10%
Staff turnover factor	23%	25%
Retirement age	55 years	55 years

31.3 Sensitivity of assumptions employed in actuarial valuation

The following table demonstrate the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement.

The sensitivity of the comprehensive income statement and the statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss and employment benefit obligation for the year.

Increase/decrease in discount rate	Increase/decrease in salary increment	2016/2017	2015/2016
		Sensitivity effect on comprehensive income statement increase/(reduction) in results for the year	Sensitivity effect on comprehensive income statement increase/(reduction) in results for the year
		Rs.	Rs.
1%	0	1,483,582	1,187,825
-1%	0	(1,271,729)	(1,273,715)
0	1%	(1,489,530)	(1,412,411)
0	-1%	1,712,531	1,338,458

As at 31st March

32. STATED CAPITAL

	2017 Rs.	2016 Rs.
Ordinary shares (Note 32.1)	1,378,689,779	1,378,689,779
Redeemable Preference Shares	400,049,600	-
Stated Capital	1,778,739,379	1,378,689,779
Less: Redeemable Preference Shares- classified as borrowings (Refer Note 28)	(400,049,600)	-
Total Equity	1,378,689,779	1,378,689,779
No.of shares (Note 32.2)	148,018,370	148,018,370

32.1 Movement in ordinary shares

At the beginning of the year	1,378,689,779	306,024,990
Issued during the year	-	1,072,664,789
At the end of the year	1,378,689,779	1,378,689,779

32.2 Movement in number of shares

At the beginning of the year	148,018,370	7,650,624
Shares issued at the amalgamation in lieu of former Orient Finance PLC shares	-	1,213
	148,018,370	7,651,837
1:10 sub division of shares	-	76,518,370
Shares issued at the Initial Public Offer	-	71,500,000
At the end of the year	148,018,370	148,018,370

32.3 By way of an Initial Public Offer, the company issued 71,500,000 shares at the price of Rs.15/- and listed on the Dirisavi Board of the Colombo Stock Exchange on 08th February 2016. Shares issued for the purpose of raising capital to settle the loan facility obtained from Orient Capital Ltd to make settlements to shareholders of Former Orient Finance PLC and to meet the regulatory capital requirements of the amalgamated entity.

Purpose as per Prospectus	Amount allocated as per prospectus	Proposed date of utilization as per prospectus	Amount allocated from proceeds in LKR	% Of Total proceeds	Amount utilized in LKR	% of utilization against allocation
Raise capital to settle the loan facility obtained from Orient Capital Ltd to make the settlements to shareholders of Former Orient Finance PLC.	1,072 Mn	31-Jan-16	1,072 Mn	100%	1,072 Mn	100%

32.4 The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the company.

32.5 All shares rank equally with regard to the company's residual assets.

As at 31st March,

33. STATUTORY RESERVE FUND

	2017 Rs.	2016 Rs.
At the beginning of the year	292,391,119	171,016,612
Transfer during the year	12,883,811	121,374,507
At the end of the year	305,274,930	292,391,119

33.1 Statutory reserve fund is a capital reserve which contains profits transferred as required by Section 3 (b) (i) of Finance Companies Capital Funds Direction No. 01 of 2003 issued by Central Bank of Sri Lanka.

34. AVAILABLE FOR SALE RESERVE

	2017 Rs.	2016 Rs.
Balance at the beginning of the year	(377,544)	(3,374,004)
Transfers to retained earnings	-	3,374,004
During the year fair value loss on AFS financial assets	(1,168,048)	(377,544)
Balance at the end of the year	(1,545,592)	(377,544)

35. FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has two reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, and are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

Hire purchase, finance leasing and loans - Provision of hire purchase and leasing facilities to customers

Factoring - Debt factoring

	Finance leases, hire purchases and loans		Factoring		Unallocated		Total	
	31.03.2017	31.03.2016	31.03.2017	31.03.2016	31.03.2017	31.03.2016	31.03.2017	31.03.2016
	Rs	Rs	Rs	Rs	Rs	Rs	Rs	Rs
Interest income	2,780,166,226	2,036,981,870	229,367,517	109,033,085	119,175,699	83,730,778	3,128,709,442	2,229,745,733
Fee and commission income	81,959,493	56,919,160	47,288,126	28,067,531	642,120	-	129,889,739	84,986,691
Other income	22,490,458	7,100,574	-	-	28,646,557	41,318,674	51,137,015	48,419,248
Total segmental income	2,884,616,177	2,101,001,604	276,655,643	137,100,616	148,464,376	125,049,452	3,309,736,196	2,363,151,672
Less: Interest expense	(1,668,162,501)	(1,002,305,846)	(162,621,651)	(93,604,922)	(5,711,852)	(541,934)	(1,836,496,004)	(1,096,452,702)
Segmental results	1,216,453,676	1,098,695,758	114,033,992	43,495,694	142,752,524	124,507,518	1,473,240,192	1,266,698,970
Depreciation and amortization	(28,104,631)	(31,266,920)	(2,739,794)	(299,674)	(96,231)	(10,360,868)	(30,940,656)	(41,927,462)
Impairment charge/(reversal)	(299,250,210)	(311,112,713)	(20,829,000)	(17,694,767)	(1,697,000)	(189,133)	(321,776,210)	(328,996,613)
Other Expenses	(454,826,628)	(350,220,716)	(42,686,460)	(2,186,776)	(321,530,752)	(247,506,685)	(819,043,840)	(599,914,177)
Income tax	-	-	-	-	(43,803,275)	311,011,817	(43,803,275)	311,011,817
Profit after tax	434,272,207	406,095,409	47,778,738	23,314,477	(224,374,734)	177,462,649	257,676,211	606,872,535
Segmental assets	14,911,400,633	12,650,993,005	1,453,645,309	1,181,470,925	3,084,983,940	3,280,218,200	19,450,029,882	17,112,682,131
Segmental liabilities	423,089,194	474,271,932	-	-	16,527,213,629	14,395,429,225	16,950,302,823	14,869,701,158

As At 31 March 2017,

36. MATURITY ANALYSIS OF ASSETS AND LIABILITIES

	Less than 3 months Rs	3-12 months Rs	1-3 years Rs	3-5 years Rs	Over 5 years Rs	Total	
						2017 Rs	2016 Rs
ASSETS							
Cash and cash equivalents	107,894,350	-	-	-	-	107,894,350	231,677,698
Available for sale financial assets	51,208,092	788,448,377	-	-	230,600	839,887,069	756,124,103
Loans and receivables to customers	3,643,079,755	3,311,502,089	7,210,506,772	2,248,384,833	2,629,695	16,416,103,144	13,839,304,166
Investments with banks and other financial institutions	333,056,864	36,103,200	-	-	-	369,160,064	432,329,213
Other assets	25,698,315	171,348,710	-	-	-	197,047,025	247,641,495
Real estate stock	-	22,469,524	-	-	-	22,469,524	46,407,850
Deferred tax asset	-	-	-	275,622,280	-	275,622,280	319,518,080
Brand value	-	-	-	-	235,880,000	235,880,000	235,880,000
Goodwill	-	-	-	-	564,545,746	564,545,746	564,545,746
Intangible assets	-	-	-	-	105,510	105,510	517,658
Property, plant and equipment	-	-	-	-	421,315,170	421,315,170	438,736,121
Total assets	4,160,937,376	4,329,871,900	7,210,506,772	2,524,007,113	1,224,706,721	19,450,029,882	17,112,682,130
LIABILITIES							
Bank overdrafts	598,251,884	-	-	-	-	598,251,884	433,373,124
Deposits from customers	3,075,333,280	4,527,551,437	1,516,921,338	445,753,906	-	9,565,559,962	9,249,312,393
Interest bearing borrowings	1,939,649,202	1,330,565,779	1,480,685,474	64,250,000	-	4,815,150,455	3,262,737,550
Term debts	24,063,384	-	-	961,653,085	-	985,716,469	1,176,912,865
Redeemable preference shares	-	-	-	406,954,566	-	406,954,566	-
Current tax payable	-	2,136,340	-	-	-	2,136,340	2,136,340
Other liabilities	519,278,580	11,507,156	-	-	-	530,785,736	704,484,745
Non-interest bearing security deposits	848,127	-	-	-	-	848,126	1,891,105
Retirement benefit obligations	-	-	-	-	44,899,285	44,899,285	38,853,036
	6,157,424,457	5,871,760,712	2,997,606,812	1,878,611,557	44,899,285	16,950,302,823	14,869,701,158
Maturity Gap	(1,996,487,081)	(1,541,888,812)	4,212,899,960	645,395,556	1,179,807,436		

37 RELATED PARTY TRANSACTIONS

The company carries out transactions in the ordinary course of the business with parties who are defined as related parties in Sri Lanka Accounting Standard, LKAS 24 "Related Party Disclosures", the details of which are reported below.

37.1 Parent and ultimate controlling party

The parent and ultimate controlling party of the company is Janashakthi PLC.

37.2 Transactions with key management personnel

According to LKAS 24, "Related Party Disclosures", key management personnel, are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the board of directors (Including executive and non-executive directors) and their immediate family members have been classified as key management personnel of the company.

The company has paid Rs. 6,140,200 (2015/2016 -Rs. 6,120,650/-) to the directors as emoluments, of which all comprised of short term employment benefits and no post-employment benefits has been paid during the year (2015/2016 - Nil). There are no direct transactions, arrangements and agreements involving key management personnel of the company other than disclosed in other related party transactions.

The company accepts and held fixed deposits from key management personnel and their relatives in the normal course of its business and the amount outstanding on such deposits as at 31st March 2017 is Rs.201,900,000/- (2015/2016 136,050,000)

37.3 Other related party transactions

The following transactions have been carried out with related parties during the year ended 31st March, 2017.

37.3.1 Recurrent Related Party Transactions

Company	Relationship	Nature of Transactions	Rs.
Janashakthi General Insurance Limited	Affiliate	Insurance commission received	31,688,395
		Insurance premium paid	(17,952,464)
		Rent paid and Security Deposit	(5,724,757)
Janashakthi Insurance PLC	Affiliate	Rent and utility paid for window offices	(757,532)
		Life insurance to staff	(788,486)
		Rent income received	1,433,374
Orient Capital Limited	Affiliate	Reimbursement of collections on assigned debtors	(10,345,380)

37.3.2 Non-Recurrent Related Party Transactions

There were no non recurrent transactions carried out with Related Parties (2015/2016 - NIL) as required to be disclosed by Rule 9.3.2 (a) of the CSE listing Rules except 99.2% of the preference shares issued to the existing shareholders purchased by Janashakthi PLC amounting to Rs. 339,724,000.

38. CAPITAL COMMITMENTS

The company has no material capital commitments outstanding as at the reporting date.

39. CONTINGENT LIABILITIES

The company does not anticipate any contingent liabilities to arise out of any contingent events as at reporting date except as disclosed below:

The Inland Revenue Department has issued an assessments on Value Added Tax on financial services amounting to Rs. 65,299,441/- and the Board of Directors is confident that there will not be any additional tax liability on that.

40. ASSETS PLEDGED AS SECURITIES

The following assets have been pledged as securities against the long term and short term borrowings that have been disclosed under the note No.26 to the financial statements.

Funding Institution	Nature of assets	Nature of liability	Balance Outstanding as at 31 Marh 2017	Value of assets pledged (Rs.)	Included under
Sampath Bank PLC	Leases and hire purchases receivable	Long term borrowings	165,042,761	219,090,900	Future rental receivables
Sampath Bank PLC	Leases and hire purchases receivable	Short term Loans - Revolving	100,197,260	133,000,000	Future rental receivables
Seylan Bank PLC	Leases and hire purchases receivable	Long term borrowings	277,341,622	412,500,000	Future rental receivables
Seylan Bank PLC	Land and Building	Long term borrowings	66,118,248	96,000,000	Property, Plant and Equipment
NDB Bank PLC	Leases and hire purchases receivable	Short term loans - Revolving	777,921,200	930,000,000	Future rental receivables
Union Bank PLC	Leases and hire purchases receivable	Long term borrowings	359,504,168	431,249,971	Future rental receivables
Union Bank PLC	Leases and hire purchases receivable	Short term loans - Revolving	201,015,068	240,000,000	Future rental receivables
Bank of Ceylon PLC	Leases and hire purchases receivable	Long term borrowings	1,179,021,104	1,567,404,991	Future rental receivables
Nations Trust Bank PLC	Leases and hire purchases receivable	Short term loans - Revolving	130,183,767	195,000,000	Future rental receivables
Pan Asia Bank PLC	Leases and hire purchases receivable	Short term loans	90,178,911	112,478,817	Future rental receivables
Cargills Bank	Leases and hire purchases receivable	Short term loan - Revolving	300,119,178	360,000,000	Future rental receivables
Deutsche Bank	Leases and hire purchases receivable	Securitizations	170,813,246	433,916,304	Future rental receivables
Bank of Ceylon	Leases and hire purchases receivable	Securitizations	281,345,298	234,223,507	Future rental receivables
Commercial Bank of Ceylon PLC	Leases and hire purchases receivable	Bank overdraft	329,559,094	330,000,000	Future rental receivables
Hatton National Bank PLC	Leases and hire purchases receivable	Bank overdraft	20,587,882	32,500,000	Future rental receivables
Sampath Bank PLC	Leases and hire purchases receivable	Bank overdraft	73,671,336	99,750,000	Future rental receivables

40 ASSETS PLEDGED AS SECURITIES (CONTD....)

Funding Institution	Nature of assets	Nature of liability	Balance Outstanding as at 31 Marh 2017	Value of assets pledged (Rs.)	Included under
Peoples Bank	Leases and hire purchases receivable	Bank overdraft	70,754,563	93,750,000	Future rental receivables
NDB Bank PLC	Leases and hire purchases receivable	Bank overdraft	22,416,922	30,000,000	Future rental receivables
Union Bank PLC	Leases and hire purchases receivable	Bank overdraft	22,568,553	30,000,000	Future rental receivables
Bank of Ceylon	Leases and hire purchases receivable	Bank overdraft	40,519,296	66,500,000	Future rental receivables
Nations Trust Bank PLC	Leases and hire purchases receivable	Bank overdraft	18,174,238	30,000,000	Future rental receivables
Seylan Bank PLC	Land and Building	Bank overdraft	-	190,000,000	Property, Plant and Equipment

40.1 The Company has pledged Rs.1,309,045,845 worth of debtors as securities to Janashakthi General Insurance Ltd for the Guarantee obtained for the Debentures issued amounting to Rs. 1,000,000,000.

40.2 In the ordinary course of the business, the company enters into transactions that result in the transfer of financial assets to third parties. The information above sets out the extent of such transfers and retained interest in transferred assets.

40.3 The company has transferred future rental receivable of lease and hire purchases, but has retained substantially all of the credit risks associated with the transferred assets. Due to the retention of substantially all the risk and rewards on these assets the company continues to recognise these assets within lease rental receivable and stock out on hire.

41 EVENTS OCCURRING AFTER THE BALANCE SHEET DATE

Subsequent to the date of the statement of financial position, no circumstances have been arisen which would require adjustments to or disclosures in the financial statements.

42 COMPARATIVE INFORMATION

Comparative information of the company has been reclassified wherever necessary to conform with the current year's presentation/classification.

Following information was reclassified for the current year's presentation;

a. Personnel expenses

Re-imbursement of staff vehicle hire charges which was classified under personnel expenses in the previous year has been re-classified under other operating expenses.

	Amount Rs.
Personnel expenses as per previous year financial statements	334,420,478
Less: Re-imbursement of staff vehicle hire charges	(76,582,438)
	<u>257,838,040</u>

43 DIRECTORS' RESPONSIBILITY

Board of directors is responsible for the preparation and presentation of these financial statements.

44 NUMBER OF EMPLOYEES OF THE COMPANY AS AT THE YEAR END

Number of employees of the company as at 31st March 2017 is 447 (2016-421).

45 DETERMINATION OF FAIR VALUE AND FAIR VALUE HIERARCHY

For all financial instruments where fair values are determined by referring to externally quoted prices or observable pricing inputs to models, independent price determination or validation is obtained. In an inactive market, direct observation of a traded price may not be possible. In these circumstances, the company uses alternative market information to validate the financial instrument's fair value, with greater weight given to information that is considered to be more relevant and reliable.

Fair values are determined according to the following hierarchy:-

Level 1:- Quoted market price (unadjusted) in an active market for an identical instrument.

Level 2:- Valuation techniques based on observable inputs, either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3:- Valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation.

The following table shows an analysis of financial instruments recorded at fair value by the level of the fair value hierarchy.

	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets - Available for Sale				
Government Securities	839,656,469	-	-	839,656,469
Investments in shares	-	230,600	-	230,600
	<u>839,656,469</u>	<u>230,600</u>	<u>-</u>	<u>839,887,069</u>

46 FAIR VALUE OF FINANCIAL INSTRUMENTS CARRIED AT AMORTISED COST

The following table summarises the carrying amounts and the company's estimate of fair values of those financial assets and liabilities not presented on the company's statement of financial position at fair value. Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction. The fair values in the table below may be different from the actual amounts that will be received/ paid on the settlement or maturity of the financial instrument. For certain instruments, the fair value may be determined using assumptions which are not observable in the market.

As at 31 March	2017		2016	
	Carrying Value (Rs)	Fair Value (Rs)	Carrying Value (Rs)	Fair Value (Rs)
ASSETS				
Cash and cash equivalents	107,894,350	107,894,350	231,677,698	231,677,698
Loans and receivables to customers	16,416,103,144	16,416,103,144	13,839,304,166	13,839,304,166
Investments with banks and other financial institutions	369,160,064	369,160,064	432,329,213	432,329,213
	<u>16,893,157,558</u>	<u>16,893,157,558</u>	<u>14,503,311,077</u>	<u>14,503,311,077</u>
LIABILITIES				
Bank overdrafts	598,251,884	598,251,884	433,373,124	433,373,124
Deposits from customers	9,565,559,962	9,565,559,962	9,249,312,393	9,249,312,393
Interest bearing borrowings	4,815,150,455	4,815,150,455	3,262,737,550	3,262,737,550
	<u>14,978,962,301</u>	<u>14,978,962,301</u>	<u>12,945,423,067</u>	<u>12,945,423,067</u>

Given below is the methodologies and assumptions used in fair value estimates.

Cash and cash equivalents

The carrying amounts of cash and cash equivalents, approximate their fair value as those are short-term in nature and are receivable on demand.

Investments with banks and other financial institutions

The carrying amounts of fixed deposits with banks and other reverse repurchase agreements, approximate their fair value as those are short term in nature. Almost all of these balances have a remaining maturity of less than six months from the reporting date.

Loans and receivables to customers

Fair value of the loans and receivables to customers is the present value of future cash flows expected to be received from such loans and receivables calculated based on interest rates at the reporting date for similar types of loans and receivables. The company calculated the fair value of the loans and receivables to customers based on interest rates at the reporting date for similar types of loans and receivables. Accordingly, fair value of such loans does not materially defer from its carrying value amounted to Rs.16,416,103,144.

Bank overdrafts

The carrying amounts of bank overdrafts, approximate their fair value as those are short term in nature.

Deposits from customers

More than 79% of the customer deposits have a remaining contractual maturity of less than one year. Customer deposits with a contractual maturity of more than one year are subject to pre-mature upliftment. Amounts paid to customers in the event of pre-mature upliftment would not be materially different to its carrying value as at date. Therefore, fair value of customer deposits approximates to their carrying value as at the reporting date.

Interest bearing borrowings

Interest bearing borrowings include both fixed rate and floating rate borrowings. Floating rate borrowings represent nearly 89.5% of the portfolio. Accordingly carrying value of the floating rate borrowings approximate to their fair values as at the reporting date. Rest of the borrowings have a remaining contractual maturity of less than one year. Therefore, fair value of interest bearing borrowings approximate to the carrying value as at the reporting date.

47 FINANCIAL RISK MANAGEMENT

Risk is the most important factor considered in strategic decision making process at Orient Finance PLC. Therefore, all possible risks are properly evaluated before taking any strategic or operational decision and decide the best options which minimize the risk. Risk management framework of the company is discussed in detail in this report. The major categories of financial risks are;

- 1 Credit risk
- 2 Liquidity risk
- 3 Operational risk
- 4 Market Risk

47.1 Credit risk

Credit risk is the risk of financial loss to the company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the company's loans and advances to customers. For risk management reporting purposes the company considers and consolidates all elements of credit risk exposure (such as individual obligor default risk, country and sector risk).

Management of credit risk

The board of directors has delegated responsibility for the oversight of credit risk to its company's credit committee. The company's credit department, reporting to the company's credit committee, is responsible for management of the company's credit risk, including:

- I Formulating credit policies in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.
- II Establishing the authorization structure for the approval and renewal of credit facilities. Authorization limits are allocated to business unit credit officers. Larger facilities require approval by the company's credit committee or the board of directors as appropriate.
- III Reviewing and assessing credit risk - company's credit division assesses all credit exposures in excess of designated limits, prior to facilities being committed to customers by the business unit concerned. Renewals and reviews of facilities are subject to the same review process.
- IV Limiting concentrations of exposure to counterparties, geographies and industries.
- V Providing advice, guidance and specialist skills to business units to promote best practice throughout the company in the management of credit risk.

Regular audits of business units and the company's credit processes are evaluated by internal audit.

	31.03.2017	31.03.2016
	Rs	Rs
Loans and advance to customers		
Carrying amount at amortized cost		
Individual significant impaired loans and advances (Note 47.1.1)	467,018,049	616,228,140
Carrying amount of unimpaired loans and advances (Note 47.1.2)	15,949,085,095	13,223,076,026
	<u>16,416,103,144</u>	<u>13,839,304,166</u>
	31.03.2017	31.03.2016
	Rs	Rs
47.1.1 Individually significant loans and advances		
Gross receivable	948,646,255	1,206,031,705
Allowance for impairment	(481,628,206)	(589,803,565)
Individually significant impaired loans and advances	<u>467,018,049</u>	<u>616,228,140</u>

47 FINANCIAL RISK MANAGEMENT (CONTD...)

	31.03.2017	31.03.2016
	Rs	Rs
47.1.2 Individually significant unimpaired and individually not significant (collective impairment)		
Gross receivable	16,131,549,424	13,423,116,142
Allowance for impairment	(182,464,329)	(200,040,116)
Carrying amount of unimpaired loans advances	<u>15,949,085,095</u>	<u>13,223,076,026</u>

Write-off policy

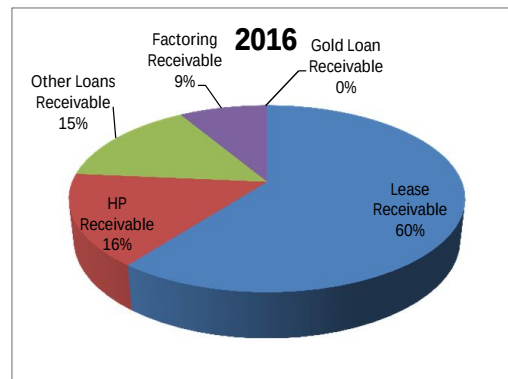
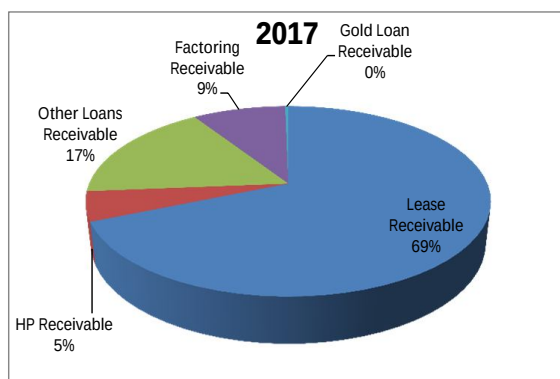
The company writes off a loan or an investment debt security balance, and any related allowances for impairment losses, when the company's credit division determines that the loan or security is uncollectible. This determination is made after considering information such as the occurrence of significant changes in the borrower's/issuer's financial position such that the borrower/issuer can no longer pay the obligation, or that proceeds from collateral will not be sufficient to pay back the entire exposure. For smaller balance standardized loans, write-off decisions generally are based on a product-specific past due status.

Concentrations of credit risk

The company monitors concentrations of credit risk by sector and by geographic location.

An analysis of concentrations of credit risk from loans and advances and investment securities at the reporting date is shown below:

Product concentration



47.2 Liquidity risk

Liquidity risk is the risk that the company will encounter difficulty in meeting obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

Management of liquidity risk

The company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation.

The company treasury receives information from other business units regarding the liquidity profile of their financial assets and liabilities and details of other projected cash flows arising from projected future business. Treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities to ensure that sufficient liquidity is maintained within the company as a whole.

47 FINANCIAL RISK MANAGEMENT (CONTD...)

47.2 Liquidity risk (Contd...)

Management of liquidity risk (Contd...)

The daily liquidity position is monitored and regular liquidity stress testing is conducted under a variety of scenarios covering both normal and more severe market conditions. All liquidity policies and procedures are subject to review and approval by ALCO. Daily reports cover the liquidity position of the company and branches. A summary report, including any exceptions and remedial action taken, is submitted regularly to ALCO which in turn submit monthly summary to the board.

The company relies on deposits from customers and banks borrowing as its primary sources of funding. While the company's debt securities and subordinated liabilities have maturities of over one year, deposits from customers generally have shorter maturities and a large proportion of them are repayable on demand. The short-term nature of these deposits increases the company's liquidity risk and the company actively manages this risk through maintaining competitive pricing and constant monitoring of market trends and maintaining unutilized credit lines.

Exposure to liquidity risk

The key measure used by the company for managing liquidity risk is the ratio of net liquid assets to deposits from customers. For this purpose net liquid assets are considered as including cash and cash equivalents and investment grade debt securities for which there is an active and liquid market less any deposits from banks, debt securities issued, other borrowings and commitments maturing within the next month. A similar, but not identical, calculation is used to measure the company's compliance with the liquidity limit established by the company's lead regulator, CBSL. Details of the reported company ratio of net liquid assets to deposits from customers at the reporting date and during the year were as follows:

	31.03.2017 (Rs)
Time deposits	9,496,983,402
Saving deposits	68,576,560
Unsecured borrowings	1,737,099,000
Total liquid assets	1,264,736,623
Cash in hand	85,700,169
Balances in current accounts (favourable)	5,504,000
Deposits in commercial banks	333,875,985
Approved securities	839,656,469
Average month end deposit liabilities	9,085,545,000
Average month end outstanding borrowings	1,896,822,000
	10,982,367,000
Required minimum amount of liquid assets	1,133,694,724
10% of fixed deposits	949,698,340
15% of savings deposits	10,286,484
10% of unsecured borrowings	173,709,900
Required minimum amount of approved securities 7.5%	823,677,525

47 FINANCIAL RISK MANAGEMENT (CONTD...)

Management of liquidity risk (Contd...)

Maturity analysis for financial liabilities

Contractual maturity of the assets and the liabilities of the company is disclosed in the note 36 to the financial statements.

To manage the liquidity risk arising from financial liabilities, the company holds liquid assets comprising cash and cash equivalents and investment grade investment securities for which there is an active and liquid market. These assets can be readily sold to meet liquidity requirements.

47.3 Operational risks

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the company's involvement with financial instruments, including processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. The company's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the company's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

Compliance with company standards is periodically reviewed by internal audit. The results of internal audit reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the audit committee and senior management of the company.

Capital Management

The company manages its capital base to comply with regulatory capital requirements and to maintain a solid fund base.

CBSL has set minimum capital requirements for the finance companies as discussed below:

Tier 1 Capital, which includes stated capital, perpetual bonds (which are classified as innovative tier 1 securities), retained earnings, translation reserve and non-controlling interests after deductions for goodwill and intangible assets, and other regulatory adjustments relating to items that are included in equity but are treated differently for capital adequacy purposes; and

Tier 2 Capital, which includes qualifying subordinated liabilities, collective impairment allowances (limited to those credit portfolios where the standardized approach is used under Basel II) and the element of the fair value reserve relating to unrealized gains/losses on equity instruments measured at fair value through other comprehensive income.

According to these regulations the minimum capital requirement under Tier 1 is 5% of the total risk weighted assets and Tier 2 is 10% of the total risk weighted assets.

47.4 Market Risk

Market risk is the risk arising from fluctuations in market variables such as interest rates, foreign currencies, equity prices and gold prices. As the Company's operations involve granting accommodations, accepting deposits and obtaining funding facilities, the movements in interest rates constitute the most important market risk for the Company.

This risk is reviewed periodically by ALCO and Integrated Risk Management Committee.